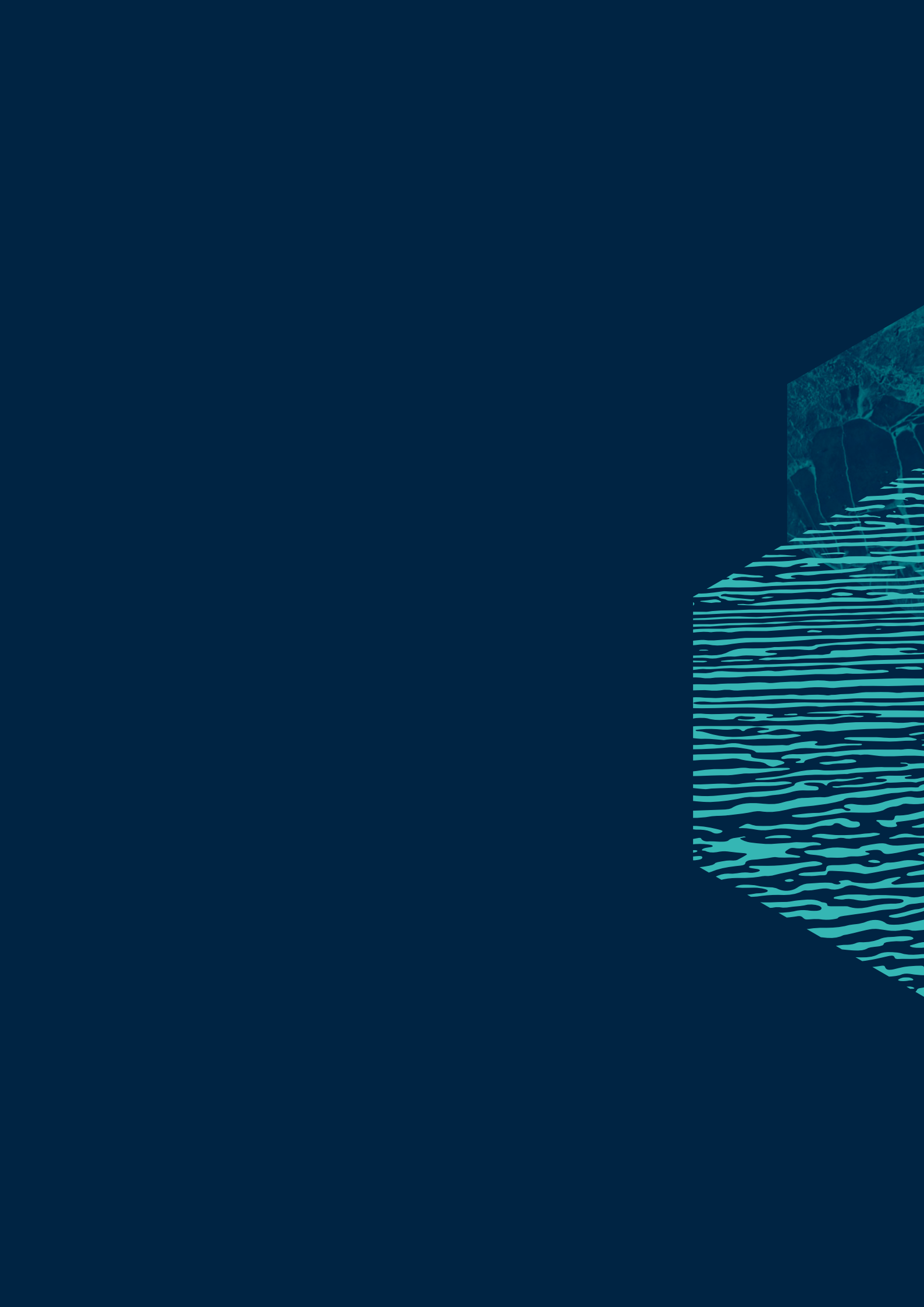
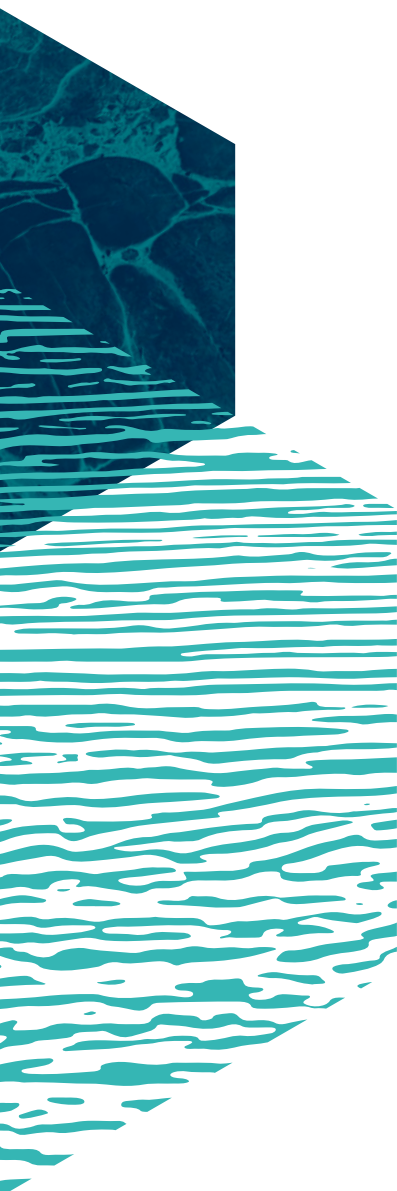


ROCKSOURCE

ANNUAL REPORT 2014





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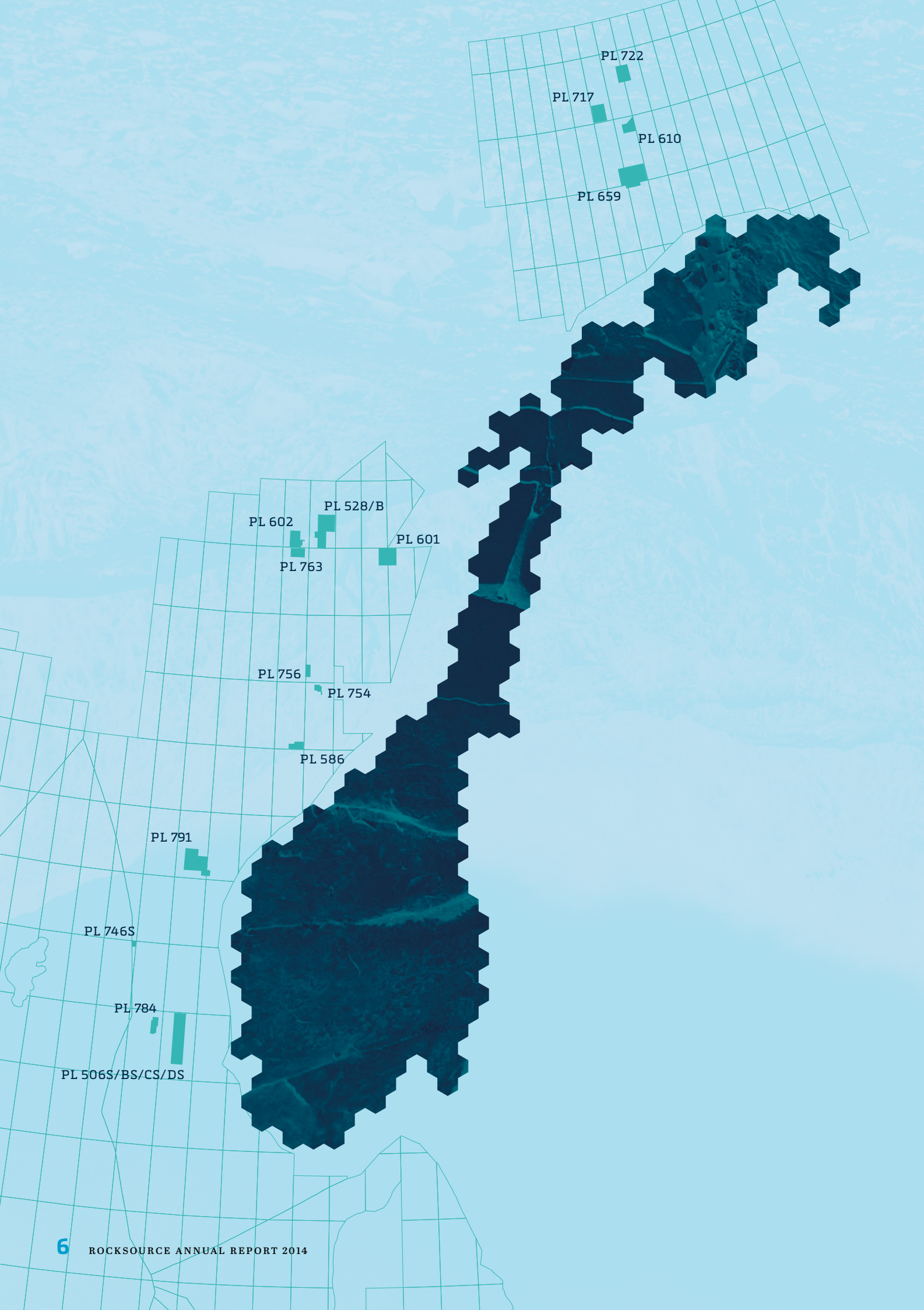
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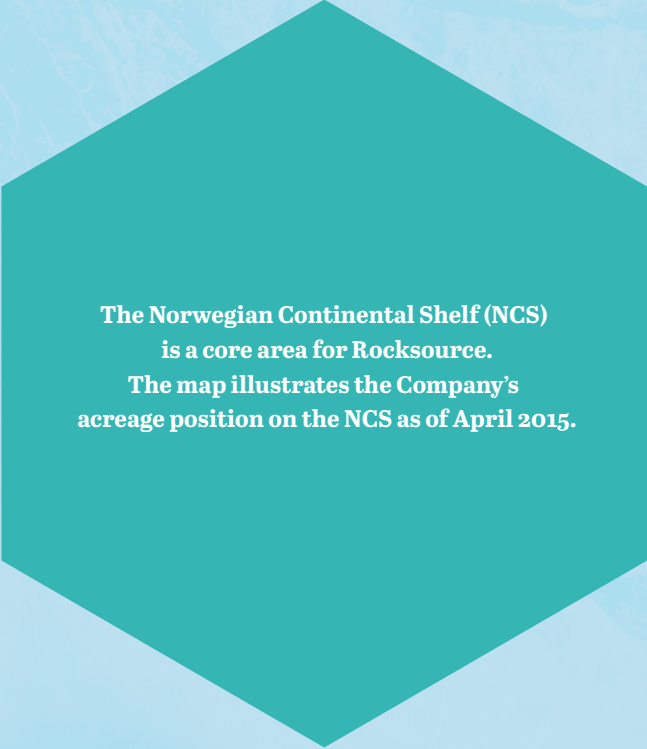


ROCKSOURCE AT A GLANCE

Rocksource is an exploration company focusing on the Norwegian Continental Shelf (NCS). Rocksource's exploration model is to apply in depth geological knowledge complemented by advanced geophysical analysis supported by commercial expertise and capital discipline. The Company's goal is to discover commercial oil and gas accumulations, then seek to divest and re-allocate funds either towards new exploration opportunities or other activities which add value to shareholders.

The Company currently holds 19 licences on the NCS and four leases in the US Gulf of Mexico (GoM). Rocksource is partner in the Pil discovery on the NCS and controls 100 per cent of the Trident discovery in the GoM.

The Company has its headquarters in Bergen and currently employs approximately 30 highly skilled professionals. Rocksource is listed on the Oslo Stock Exchange with ticker RGT.



The Norwegian Continental Shelf (NCS)
is a core area for Rocksource.
The map illustrates the Company's
acreage position on the NCS as of April 2015.



“This year we will be working on quality applications for attractive new acreage at the NCS, as well as playing an active role in the farm-in market.”

CEO'S COMMENT

Dear shareholder,

2014 was an outstanding year for Rocksource. After years of hard, dedicated work, we finally had our commercial breakthrough as a partner in the Pil discovery in the Norwegian Sea. This was definitely a transformational event for the Company – and indeed for our loyal shareholders, who experienced a 610 per cent rally in our share price.

There is a saying that big fields tend to grow bigger. That is our belief also for Pil. This year we could very well see volumes double, moving Pil into stand-alone territory. In fact, the overall potential of the Pil licence is much higher than this, and that is why the entire Pil partnership is eagerly awaiting the upcoming drilling programme, expected to commence mid 2015.

Despite our excitement around Pil, we are not placing all our eggs in one basket. Follow-up campaigns on promising discoveries have failed in the past, and although Pil is highly promising, we have no guarantees prior to drilling. This year we will be working on quality applications for attractive new acreage at the NCS, as well as playing an active role in the farm-in market. One of the positive spin-offs of the downturn in the oil market is an increasing number of farm-in opportunities arising, as several oil companies are cutting their capital expenditure. This presents us with interesting opportunities to farm into quality wells. Finally, we will continue our work to mature quality opportunities from our existing portfolio of 19 licences on the NCS and will be active in optimising our portfolio.

Although we are all riding high on the back of our success with the Pil discovery, I can assure you that we will continue to have a strong focus on cost discipline. We fully recognise the present market conditions with low oil price and increased cost focus in the industry. We will continue to be very prudent with regard to capital spending going forward to maximize value creation and building shareholder values.

Part of my due diligence prior to accepting the position as CEO was an external verification of the Company's G&G team which I consider the heart of any exploration company. I was encouraged by the feedback I got from the industry, and after a few months with the Company I'm confident that we have a top quality team in Rocksource with a wide experience basis.

Great team effort made our achievements in 2014 possible, and I would like to thank everybody at Rocksource for their hard work. I truly believe we have a bright future ahead of us, even though the industry as a whole is facing some head wind. The Pil discovery makes us part of one of the most exciting discoveries on the NCS in many years and provides a solid foundation for Rocksource to build on.

Thank you for your continued support.

Yours sincerely,



Terje Arnesen
Chief Executive Officer

MANAGEMENT TEAM



Terje Arnesen
Chief Executive Officer

Terje Arnesen joined Rocksource in November 2014. Terje Arnesen has extensive senior management experience from the oil and shipping industries. He has held positions as CEO of Bergen Group ASA, CEO of Bennex Group AS (seismic and subsea system supplier) as well as several senior management positions in Rolls-Royce Marine, both national and internationally. Mr. Arnesen is educated as an engineer and holds a MBA from BI International business school in Oslo and ESCP-EAP in Paris.



Hans Petter Klohs
Chief Financial Officer

Hans Petter Klohs has been Chief Financial Officer in Rocksource since 2 June 2014. The Company has recruited Mr. Klohs initially on a one-year contract. Mr. Klohs has close to 15 years extensive senior executive management experience from Norwegian stock listed entities within both oil service and shipping, amongst other as CFO in GC Rieber Shipping for more than 10 years. His fields of expertise include corporate funding, financial reporting, M&A, corporate finance, investor relations and business development. Mr. Klohs holds a MSc degree in Economics, a bachelor's degree in Business administration and a MPhil degree in International Finance.



Rolf M. Monsen

Exploration Manager International

Rolf M. Monsen has been employed as CTO and International Exploration Manager with main responsibility for quality assurance in the subsurface disciplines and to manage the remaining international exploration ventures. Mr. Monsen joined Rocksource in 2006 after 21 years in Statoil ASA where his last position was G&G manager for the Kvitebjørn gas field. Mr. Monsen has worked as a G&G manager for several producing fields in Norway. He has also worked international exploration in the BP Statoil alliance, which resulted in several successful giant discoveries in the Caspian sea. He was also seconded to the Abgami field development project (Nigeria) led by Chevron in Houston. He is a graduate MSc. petroleum prospecting from NTNU, Trondheim Norway, 1985.



Annelin Norenes Haaland

VP Exploration NCS

Annelin Norenes Haaland has been employed as VP Exploration NCS with responsibility for the technical evaluation of exploration and growth opportunities for Rocksource since 2012. She started in Rocksource NCS team as an exploration geophysicist in 2011. She has a Cand Scient degree in Reservoir Geophysics and has 17 years of industry experience with Norsk Hydro, StatoilHydro and Statoil, 3 of which were as a project leader and thereafter department manager at the research centre and in exploration in Statoil (Hydro). She has had several years of experience within R&D working with geophysics and IOR development and integrated work processes. Previous experience includes positions as team leader and production geophysicist in Hydro at the Troll field.



Arild Thorsrud

VP Operations

Arild Thorsrud is a submariner gone ashore. He holds a Master of Science Degree in engineering from the Royal Norwegian Naval Academy. A wish for a change led to a job as a roughneck on a floating drilling rig and he has since then spent more than 30 years in the oil business, both in Norway and abroad. Including 4 years offshore drilling, Drilling Superintendent for Ross Drilling for 4 years, 10 years in Transocean in various engineering and Operation Manager positions, including drilling and coiled tubing operations. After a period of self-employment, Thorsrud worked for ConocoPhillips in 10 years before joining Rocksource in February 2005.

CORPORATE GOVERNANCE

Rocksource ASA (“Rocksource” or the “Company”) continuously aims to ensure compliance with the Code of Practice for Corporate Governance of 30 October 2014 (the “Code of Practice”). The Code of Practice is available at www.nues.no.

Below follows a report outlining how Rocksource has implemented the Code of Practice. This report follows the same structure as the Code of Practice and covers all sections thereof. Deviations from the Code of Practice are explained under the relevant sections.

In addition to the Code of Practice, the Norwegian Accounting Act section 3-3b stipulates that companies must provide a report on their policies and practices for corporate governance either in the annual report or in a document referred to in the annual report. Such report is integrated in the below corporate governance statement.

ITEM 1. IMPLEMENTATION AND REPORTING ON CORPORATE GOVERNANCE

Good corporate governance shall ensure that appropriate goals and strategies are adopted, that the adopted strategies are implemented in a sound manner and that the results achieved are subject to measurement and follow-up. The principles shall also contribute to ensuring that the activities of Rocksource are subject to adequate review and control.

It is the responsibility of the Board of Directors of Rocksource to ensure that Rocksource implements sound corporate governance. Compliance with and implementation of the corporate governance guidelines are continuously evaluated by the Board of Directors.

The Board of Directors is in the process of implementing new ethical guidelines for the Company. The guidelines are based on a set of ethical values and aim to ensure that the Company and its employees act with integrity and in the best interest of all shareholders, employees and the environment. The ethical guidelines also include mandatory reporting for Board members and leading employees if they directly or indirectly have a substantial interest in an agreement entered into by the Company; see Item 4 below. The governing guidelines further describe how contact with shareholders can be arranged outside the General Meeting; see Item 13. The Board of Directors approved and published the guidelines in 2015.

ITEM 2. BUSINESS

The Company’s activities, objectives and strategies are clearly defined. The objects clause included in the Articles of Association and the Company’s main objectives and strategies are referred to in the Annual Report.

ITEM 3. EQUITY AND DIVIDENDS

The Board of Directors continuously seeks to maintain shareholder equity well suited to the Company’s objectives, strategy and risk profile. In order to provide the Board of Directors with the necessary freedom of action, the General Meeting, from time to time and in its sole discretion, awards the Board of Directors Power of Attorney to implement capital increases in the Company pursuant to the Public Limited Liability Companies Act.

The Company will from time to time and in its sole discretion consider to include authorisations to the Board of Directors on the agenda at each year’s Annual General Meeting and to give the General Meeting opportunity to consider each of the capital increase mandates separately.

One authorisation to implement one or several share capital increases under the Company’s incentive scheme was granted in the Annual General Meeting on 28 May 2014. This authorisation has not yet been utilised. In order to better comply with the Company’s obligations to employees under the incentive scheme, the authorisation was granted for a period of 2 years from 28 May 2014 and not only until the next Annual General Meeting, as recommended by the Code of Practice.

Any Powers of Attorney granted to the Board of Directors by the General Meeting will only be applied for the purpose of protecting and enhancing shareholders’ interests.

The Company has been and still is in a phase with considerable investments. As the Company has a high focus on equity value creation, no regular dividend policy has been established.

ITEM 4. EQUAL TREATMENT OF SHAREHOLDERS AND TRANSACTIONS WITH CLOSE ASSOCIATES

The Company has only one class of shares.

In the opinion of the Board of Directors the Company meets the requirements pertaining to equal treatment of shareholders as laid out in Item 4 of the Code of Practice. The

two last equity issues have been conducted as rights issues in order to ensure that all shareholders have been given equal opportunity to participate.

The Company has an authorization to take up a shareholder loan from the main shareholder. The loan was approved by the general meeting and as such the Code of Practice's recommendations on independent valuations did not apply.

The Company has prepared ethical guidelines requiring that members of the Board of Directors and senior employees report any non-immaterial interest in any agreement entered into by the Company.

ITEM 5. FREELY NEGOTIABLE SHARES

All shares in Rocksource may be freely traded and no form of restriction of negotiability is included in the Company's Articles of Association.

ITEM 6. GENERAL MEETINGS

The Company makes all necessary arrangements to ensure that all shareholders can exercise their rights by participating in the Company's General Meetings, either in person or by proxy, and that the General Meeting will be an effective meeting place for the shareholders and the Board of Directors. The Company complies with the specific obligations mentioned in Item 6 of the Code of Practice.

ITEM 7. NOMINATION COMMITTEE

In accordance with the Articles of Association, the Annual General Meeting has established a Nomination Committee consisting of three members. All members of the Committee are independent of the Board of Directors and the executive personnel. Pål Reiulf Olsen is a partner in HitecVision. The main shareholder EPSI AS, owning 85% of the shares in the Company, is a portfolio company of the fund HitecVision VII, managed by HitecVision

The Annual General Meeting for 2010 adopted instructions for the Nomination Committee. According to these instructions, the Committee shall ensure that the composition of the Board of Directors is suitable to protect shareholders' interests and the Company's need for expertise, capacity and diversity. The Nomination Committee shall also take into consideration the composition of the Board of Directors to ensure that the Board can act independently of vested interests and seek to achieve a composition that is

consistent with applicable guidelines for good corporate governance on the Oslo Stock Exchange.

The nomination committee shall have contact with shareholders, the board of directors and the company's executive personnel as part of its work on proposing candidates for election to the board. Information concerning the Nomination Committee and deadlines for making suggestions or proposing candidates for the Board of Directors are available at the Company's website www.rocksource.com, in the investor section.

ITEM 8. CORPORATE ASSEMBLY AND BOARD OF DIRECTORS: COMPOSITION AND INDEPENDENCE

The Company is not required by law and has not established a Corporate Assembly.

The shareholder elected members of the Board of Directors is and shall continue to be composed in accordance with the Company's requirements for expertise, capacity and diversity, and such that it is capable of preserving and protecting the interests of all of the Company's shareholders. The Board of Directors meets the Norwegian requirements for gender representation.

None of the Company's executive personnel is a member of the Board of Directors. Except for Board Members Liv Marit Lundby and Frode Sigurd Berg who are representatives of the company's main shareholder, the members of the Board of Directors are independent of the Company's management, main business associates and the Company's main shareholders. Pursuant to the Code of Practice, at least two of the shareholder elected board members should be independent of the main shareholders. As only one of the board members is considered to be independent, the Company is not in compliance with the Code of Practice on this point. Due to the current shareholder structure, where the main shareholder holds more than 85% of the shares, the Company believes that the deviation is justifiable.

A total of 30 board meetings were held and recorded during 2014, of which some by telephone conference and a some by written procedure. The attendance among the board members was complete in almost all meetings.

The shareholdings of the members and deputy members of Board of Directors as of 31 December 2014 is disclosed in the Annual Report.

ITEM 9. THE WORK OF THE BOARD OF DIRECTORS

The board of directors is a collegiate body. Asal §§ 6-19 and subsequent set out further rules on the preparation of matters for the board, the board's proceedings and its decisions. The Board of Directors is in the process of adopting new instructions for the Board of Directors and the management. The Board of Directors carries out assessments of its work and expertise at regular intervals.

ITEM 10. RISK MANAGEMENT AND INTERNAL CONTROL

The Board of Directors is of the opinion that the Company has satisfactory internal control and relevant systems for handling risk compared to the size and type of the Company's business. Through policies, procedures, authorisation matrices, reports and controls, the Board of Directors has established an environment for internal control and risk management related to financial reporting that is designed to provide reasonable assurance regarding the reliability of the reporting and of the preparation of the financial statements. The Board of Directors is in the process of reviewing the procedures and will update them if necessary.

ITEM 11. REMUNERATION OF THE BOARD OF DIRECTORS

The Annual General Meeting approves the remuneration paid to the Board of Directors. These are not dependent on results, and the members of the Board of Directors do not hold share options in the Company. The remuneration to the Board of Directors is disclosed in the Annual Report.

ITEM 12. REMUNERATION OF EXECUTIVE PERSONNEL

In accordance with the Norwegian Public Limited Companies Act § 6-16 a, ref § 5-6 third section, the General Meeting is required to approve the Board of Directors' declaration of remuneration policy for the coming year. In the General Meeting the Board of Directors will present the declaration of remuneration as stated in Note 4 to the Company's financial statement. The declaration shall be presented in a separate document attached to the summons to the General Meeting. Furthermore, the declaration shall state which of the guidelines are only guiding and which are binding (e.g. performance related remuneration) and the general meeting shall vote separately on the two sets of guidelines.

The remuneration paid to the Chief Executive Officer and key employees is shown in the Annual Report. A General Meeting has previously approved the Company's incentive scheme for the executive personnel consisting of three elements: (i) short term incentive scheme (STI) linked to annual goals; (ii) discovery incentive (DI) linked to value of discoveries; and (iii) long term incentive scheme (LTI) comprising share options. An absolute limit has been implemented on both the number of share options (LTI) and on the performance based cash remunerations (STI and DI) to executive personnel.

ITEM 13. INFORMATION AND COMMUNICATIONS

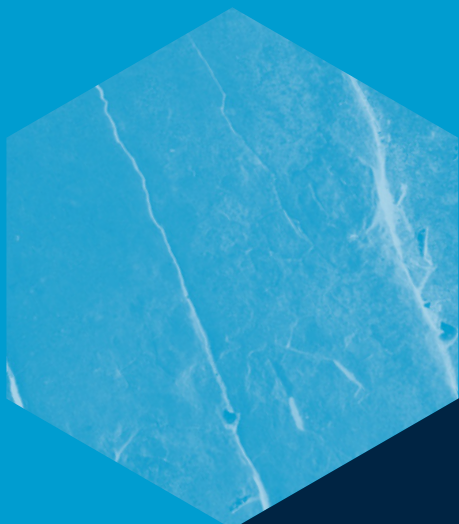
The Company reports financial and other information regularly. All reports are based on openness and take into account the requirement for equal treatment of all shareholders. The Company takes particular care to ensure that any information that may affect the share price is made available to the market. Guidelines for communication with the Company's shareholders outside the General Meeting is included in the Company's ethical guidelines.

ITEM 14. TAKE-OVERS

The board has not implemented main principles for take-over situations as recommended by the Code of Practice. The Company currently has a main shareholder who recently gained control over 85% of the shares and as such a take-over situation is not considered likely in the near future. Should a take-over situation emerge, the Board of Directors will focus and use its best efforts to ensure equal treatment of the shareholders, and further to have the best interest of all shareholders in mind regarding price and other conditions.

ITEM 15. AUDITOR

It is the opinion of the Board of Directors that the Company meets and complies with the requirements stated in Item 15 of the Code of Practice concerning contact with the Company's Auditor. The Auditor is not engaged for services that in the opinion of the Board of Directors could compromise the Auditor's neutrality and independence.



SHAREHOLDER INFORMATION

Rocksource is an E&P company listed on the Oslo Stock Exchange (Oslo Børs). The Company has one share class and each share carries one vote at the general meetings.

RETURN ON INVESTMENT

In 2014, the Rocksource share has a positive development with a 610 per cent share price increase over the year making it the number one performer of the industry in Norway. In comparison, an investment in the Oslo Børs All Share Index over the same period provided a positive return of 3 per cent. During the year 336.9 million shares changed hands on the Oslo Stock Exchange with a daily trading average of 1.3 million shares. This was approximately four times the volume traded in 2013.

OWNERSHIP STRUCTURE

At the end of 2014, Rocksource had 3484 shareholders and foreign investors owned 7 per cent of the Company's shares. This is a decrease of 4 percentage points from 2013. Rocksource's 20 largest shareholders held 74 per cent of the shares, where two shareholders owned 62 per cent at the time. Please note that this list also consists of nominee shareholders that hold shares on behalf of their clients.

SHARE CAPITAL

Rocksource share capital at 31 December 2014 was NOK 9 837 150 divided into 98 371 500 shares each with a nominal valued of NOK 0.10.

98 371 500

SHARES

3484

SHAREHOLDERS

73.94%

OWNERSHIP TOP
20 SHAREHOLDERS

610%

RETURN ON INVESTMENT (OSE)

THE COMPANY'S LARGEST SHAREHOLDERS AT 31 DECEMBER 2014

Name of shareholder	Country	Number of shares	Share %
Epsi AS	Norway	32 796 659	33.4
Larsen Oil & Gas AS	Norway	28 417 576	28.9
Independent Oil & Resources PLC	Cyprus	2 000 000	2.0
Tokala AS	Norway	1 130 000	1.1
Venadis AS	Norway	1 000 000	1.0
Ole Andreas Baksaas	Norway	978 092	1.0
Brown Brothers Harriman & Co	USA	793 550	0.8
Mustad Industrier AS	Norway	766 715	0.8
Six Sis AG	Switzerland	653 996	0.7
Abn Amro Global Custody Services	Netherlands	652 295	0.7
Bernh Larsen Holding AS	Norway	566 676	0.6
Helge Ringdal	Norway	500 000	0.5
L Langedal Holding AS	Norway	412 500	0.4
Arvid Sandnes	Norway	406 000	0.4
Askas AS	Norway	311 097	0.3
Nordnet Pensjonsforsikring	Norway	308 430	0.3
Mikhail Boulaenko	Russia	300 000	0.3
Bill Invest AS	Norway	265 481	0.3
Espen Dale	Norway	240 000	0.2
DNB Nor Markets	Norway	233 111	0.2
Total top 20 shareholders		72 732 178	73.9
Other shareholders		25 639 322	26.1
Total		98 371 500	100.0

SHARE DATA

	2014	2013
Market price at 31 December (NOK)	5.20	0.73
— high	5.89	1.89
— low	0.79	0.85
Average outstanding shares	92 537 496	87 055 500
Treasury shares	5 489	5 489
Outstanding shares at end of period	98 371 500	87 055 500
Market cap. At 31 December (MNOK)	512	64
Number of shareholders at 31 December	3 484	4 522



BOARD OF DIRECTORS' REPORT



BOARD OF DIRECTORS' REPORT FOR 2014

INTRODUCTION

Rocksource ASA is the parent company of the Rocksource group ("Rocksource", "the Company" or "the Group"), which explores for oil and gas with a focus on offshore Norwegian Continental Shelf ("NCS"). The Company is located in Bergen on the west coast of Norway and employs around 30 oil and gas professionals.

Rocksource is partner in the material Pil discovery in PL 586 in the Norwegian Sea. As of April 2015 the Company holds interests in 19 licences on the Norwegian Continental Shelf. The portfolio is spread across the North Sea (7 licences), the Norwegian Sea (8 licences) and the Barents Sea (4 licences).

Rocksource's exploration model is to apply in depth geological knowledge complemented by advanced geophysical analysis supported by commercial expertise and capital discipline. The Company's goal is to discover commercial oil and gas accumulations, then seek to divest and re-allocate funds either towards new exploration opportunities or other activities which add value to shareholders.

SUMMARY OF MAIN EVENTS IN 2014 AND SUBSEQUENT PERIOD AS OF THE DATE OF THIS REPORT

2014 marked a significant commercial breakthrough for Rocksource. The Company took part in the Pil discovery in PL 586 in the Norwegian Sea which is rated today as one of the most important on the NCS for several years. With a current resource range of approximately 80–200 million barrels of oil equivalents ("mmboe") Pil is regarded as commercially viable.

In December 2014, EPSI AS ("EPSI"), a portfolio company of the fund HitecVision VII, crossed the 1/3 ownership threshold, and launched a mandatory offer to acquire all the issued and outstanding shares in the Company at a price of NOK 6.00 per share. At the end of the offer period on 21 January 2015 EPSI announced that it controlled approximately 81.7 per cent of the shares in the Company. At the time of this report EPSI controls 84.36 per cent of the shares in Rocksource.

Following EPSI's investment, the Company successfully concluded a NOK 210 million rights issue in February, ensuring a fully funded 2015 exploration campaign. A high potential follow up drilling campaign in PL 586 is currently under preparation and expected to commence mid 2015.

OPERATIONAL REVIEW – NCS

The NCS remains Rocksource's core strategic area and at the end of April 2015, the Company held an interest in 19 NCS licences.

2014 was dominated by drilling on the Pil prospect in the PL 586. Pil, discovered in March, registered a gross hydrocarbon-bearing reservoir section of approximately 135 metres of oil and 90 metres of gas in the Upper Jurassic reservoir of the Melke Formation, exceeding pre-drill estimates.

A production test on Pil, concluded in April 2014, flowed at 6 700 barrels of oil per day, exceeding expectations. The rate did not reflect the full potential from the well as it was constrained by the testing facilities on the rig. Pressure measurements indicated a continuous reservoir system capable of sustaining higher flow rates than those observed during the test. The site sampling of the fluid produced during the test indicated the presence of 37° API oil with a gas/oil ratio of 152–170 Sm³/Sm³.

In May, a successful appraisal on Pil was announced followed, in July, by the report that another discovery had been made on the adjacent Bue prospect.

The Pil appraisal side-track was drilled down flank and to the north-east of the discovery well and proved up the lateral extent of the Pil reservoir. It encountered an 80 metre oil column in the Upper Jurassic Rogn Formation, confirming Rocksource's pre-drill expectations. Extensive coring and data acquisition was undertaken in the reservoir section and preliminary data indicate good reservoir properties.

The Bue exploration well was drilled 2.1 km north-east from the Pil discovery well. An 18 metre hydrocarbon column was encountered. Bue is a smaller field than Pil, while pressure data indicates that it is a separate accumulation. Bue reserves are currently estimated in a 6 to 25 mmboe range by the operator VNG Norge AS ("VNG"), and may be a potential satellite to any future Pil development.

With a current resource range of approximately 80 – 200 mmboe Pil and Bue are regarded as commercially viable. However, significant upside potential has been mapped within the licence.

Two drilling slots have been secured for the Transocean Arctic drilling rig. Rocksource considers the two primary targets to be tested to be low to medium risk prospects with a combined unrisks gross potential in a 100 to 250 mmboe range. A similar seismic signature as seen in the Pil discovery has been identified on the follow up prospects. Contingent side-

“A production test on Pil, concluded in April, showed excellent flow properties. The well flowed at 6 700 barrels of oil per day, exceeding expectations.”

tracks from each of these two wells would target additional medium risk prospectivity with similar combined resource potential. These figures are based on preliminary estimates by Rocksource. In the event of further success in 2015, additional upside has been identified within the licence.

Pil is located in PL 586 on the Halten Terrace in the Norwegian Sea about 33 km south-west of the Njord field and its associated production facilities. Rocksource holds a 15 per cent interest, while VNG holds 30 per cent, Spike Exploration 30 per cent and Faroe Petroleum a 25 per cent interest.

In 2014, Rocksource also took part in two drilling operations, the Langlitinden exploration well in PL 659 in the Barents Sea and the Ivory exploration well in PL 528 B in the Norwegian Sea.

The Langlitinden well in PL 659 encountered a gross oil column of about 30 metres in the Kobbe Formation, however the reservoir quality was poorer than expected. Several thin layers of sandstone were also found deeper in the Kobbe Formation, but these were tight and therefore non-productive. Extensive data acquisition and sampling were carried out including a formation test (mini-DST), which confirmed the poor flow properties. Preliminary assessment indicates that the discovery is not commercially attractive. The Operator is now analysing all results from the well and evaluating impact on further prospectivity within the licence. The PL 659 partnership contains Det norske (Operator, 20 per cent), Petoro (30 per cent), Lundin (20 per cent), Tullow Oil (15 per cent), Atlantic Petroleum (10 per cent) and Rocksource (5 per cent).

The Ivory well in PL 528 B spudded in October and encountered thick well-developed basin floor fan sand with a gas-accumulation at the top in the Kvitnos target. In the deeper Lysing target, the well penetrated poorer than expected water-bearing sand. Preliminary calculations of the size of the discovery indicate between two and eight million standard cubic metres (Sm³) of recoverable gas (Operator estimate). Lower than expected volumes and poor reservoir properties led Rocksource to expense the costs on Ivory in the fourth quarter. The PL 528 partnership contains Centrica (Operator, 40 per cent), Statoil (25 per cent), Wintershall (10 per cent), Rocksource (10 per cent), Atlantic Petroleum (9 per cent) and Repsol (6 per cent).

Over the years, Rocksource has demonstrated its ability to submit competitive applications in the NCS licensing rounds. This was maintained in 2014 with the Company

receiving high quality awards in both the APA 2013 and 2014 licensing rounds.

In the APA 2013 licensing round, where results were announced in January 2014, Rocksource was granted five licences. These were PL 746 S, PL 754, PL 756, PL 763 and PL 509 CS.

Rocksource was awarded operatorship and 40 per cent ownership in PL 746 S, located in the mature South-Western Rimfaks/Gullfaks area of the North Sea. Producing hydrocarbons have already been proven and tested within the licence. Phase one of the work programme consists of 3D seismic purchases. Within one year, a drill or drop decision has to be made, but an application for extension has been filed to further mature this licence. The licence group consists of Rocksource (Operator, 40 per cent), Tullow Oil (30 per cent) and Concedo (30 per cent).

PL 754 and PL 756 are both located in the Haltenbanken area in the Norwegian Sea. Phase one of the work programme consists of 3D seismic reprocessing and 3D purchase, respectively. The PL 754 licence group consists of Rocksource (Operator, 40 per cent), Faroe Petroleum (30 per cent) and Centrica (30 per cent). The drill or drop or 3D or drop deadline is 1 May 2015. The PL 756 partnership is headed by PGNiG (50 per cent) with Idemitsu (25 per cent) and Rocksource (25 per cent) as partners, and drill or drop is scheduled to February 2016.

Furthermore, Rocksource was awarded 30 per cent ownership in the Norwegian Sea licence PL 763 with partners Repsol (Operator, 40 per cent) and Atlantic Petroleum (30 per cent). Phase one of the work programme consists of the purchase and reprocessing of 3D seismic. Within two years, a drill or drop decision has to be made.

Finally, in PL 509 CS in the North Sea, the Company was awarded a 10 per cent equity stake. The work programme in this licence follows the one of PL 509 S. The licence was subsequently relinquished later in 2014 following a drop decision taken in July 2014.

In the APA 2014 licensing round, where results were announced in January 2015, Rocksource was granted two additional licences.

The Company was awarded operatorship and 50 per cent ownership in PL 791 located in the southern part of the Norwegian Sea, just north of the Peon discovery. Phase one of the work programme consists of acquiring 3D seismic. Within

three years, a drill or drop decision has to be made. The licence group consists of Rocksource (Operator, 50 per cent) and Tullow (50 per cent).

Further south, Rocksource was awarded a 20 per cent ownership in PL 784 located in the central North Sea. Phase one of the work programme consists of acquiring 3D seismic. Within two years, a drill or drop decision has to be made. The licence group consists of Tullow (Operator, 40 per cent), Explora (20 per cent), Concedo (20 per cent) and Rocksource (20 per cent).

Rocksource continues to mature the remainder of its NCS portfolio. In 2014, the Company acquired seismic data on PL 586, PL 610, PL 659 and PL 763 as part of the work programme commitments and in preparation for future drill or drop decisions.

During 2014 six NCS licences were relinquished.

In February 2015, Rocksource announced that the Company had entered into a Sale and Purchase Agreement with Statoil Petroleum AS related to Rocksource's 10 per cent participating interest in PL 602 in the Norwegian Sea. The transaction is subject to government approval.

OPERATIONAL REVIEW - INTERNATIONAL ACTIVITIES

Rocksource's international portfolio is located mainly in the Western Gulf of Mexico ("GoM") where it holds four leases after the Board of Directors in 2015, has resolved to relinquish five of the nine leases held in 2014. The relinquishment is part over the Group's overall strategy to preserve cash. The GoM portfolio contains the Trident discovery (~120 mmboe, mainly light oil, Rocksource 100 per cent) as well as several drill-ready prospects and some exploration prospects. The core area within Rocksource's GoM portfolio is deemed to comprise the Trident leases and the adjacent lease, AC 855.

Rocksource is currently evaluating several strategic alternatives regarding its ownership in the US GoM, among others farm-out or sale of all or some leases. The Company's US GoM leases carry no work obligations and are valid until 2018/19. The Company has made certain progress in its efforts to divest its assets in the region, accordingly the GoM operation is classified as held for sale in accordance with IFRS 5. However, uncertainty remains related to the ability to finalize such a sale due to lower oil price forecasts.

In India, Oil and Natural Gas Corporation of India ("ONGC") continues to consider its position relative to Rocksource's role and responsibilities related to the CY-DWN-2001 exploration block located in the Cauvery Basin. In January

2014 Rocksource received a legal notice from ONGC invoking arbitration relating to disputes over historical costs in the CY-DWN-2001/1 Production Sharing Contract ("PSC") offshore India.

An arbitral tribunal has been constituted, although Rocksource contests the jurisdiction of the tribunal. The first hearing was held in September 2014. In this first hearing the timelines for the initial steps of the arbitration process were defined. On 7 January 2015 ONGC filed its statement of claims to the arbitral tribunal claiming an amount of approximately US dollar 20 million together with interests from Rocksource. Thereafter, on 16 February 2015, Rocksource sent a "section 16 application" to the tribunal to dismiss the case due to lack of jurisdiction, as ONGC has initiated the arbitration proceedings pursuant to the PSC, an agreement Rocksource has never signed. Finally, a second hearing was held 11 April 2015. There was no substantive hearing on Rocksource Section 16 Application or ONGC's statement of claims. However, ONGC was granted until 5 May 2015 to file a reply to the application. The next hearing in the matter is scheduled for 14 May 2015. Rocksource is awaiting a ruling from the arbitral tribunal on this question and will deliver its statement of defence within due course if the case should not be dismissed. The Company's view remains that it is not liable for any costs on the block and the Company has therefore not recorded any provision for the claim by ONGC in the financial statements.

The Group had one permanent employee in the legal entity Rocksource Energy Corporation, registered in the USA. No subsidiary paid interest to legal entities in other jurisdictions.

The country by country reporting in accordance with the Norwegian Accounting Act §3-3d and the Norwegian Security Trading Act §5-5a is included in note 1 to the consolidated annual accounts.

FINANCING

In January 2015 the Board of Directors called for an Extraordinary General Meeting to resolve a proposed NOK 170 to 210 million rights issue. The rights issue was subsequently approved at the General Meeting on 2 February at NOK 210 million. 60,000,000 new shares at a price of NOK 3.50 were issued. The rights issue was fully underwritten by the Company's largest shareholder EPSI AS and was fully subscribed.

Following the successful rights issue, the Company entered into a NOK 700 million Exploration Credit Facility

with SEB Merchant Banking ("SEB"). The purpose of the facility is to refinance the current facility and provide 75 per cent funding of eligible cost related to the NCS portfolio in 2015 and 2016. The Company is now fully funded for its committed expenditures in 2015.

TAX

During the third quarter of 2014, the Company received a draft letter from the Oil Taxation Office ("OTO") to the Oil Taxation Complaint Board. Rocksource has calculated that the OTO draft letter would result in changes to the 2007-2009 tax assessments that would require repayment of previous refund of the tax value of the exploration expenses of NOK 11 million plus interest. Rocksource withdrew its complaint in the fourth quarter of 2014, and the case is now assessed as closed. In the fourth quarter 2014, Rocksource received a letter from the OTO notifying the Company that it is considering amending the tax return and applying a penalty tax for the income year 2013 for Rocksource Exploration Norway AS. In the letter, OTO is challenging the sales price allocation related to transactions entered into between two subsidiaries of Rocksource and a Norwegian branch of a European oil and gas company with a total contract value of NOK 20 million. The Company disagrees with the OTO's position and has not made a provision in the accounts as of year-end 2014 according to IAS 37.

ORGANISATION & HSE

There were no reported incidents related to Rocksource's operations in 2014. A core principle of Rocksource is the prevention of any incidents or accidents to employees or partners working with the Company and to conduct business in a way which will not damage the environment. The Company's Management System plays a vital role in equipping the employees with the necessary framework to conduct operations in a safe, environmentally responsible and ethically sound manner. No digressions were reported in 2014. The Company's Business Practices are available on www.rocksource.com.

In January 2014 the Board of Directors announced a strategic decision to consolidate all its activities at the Company's headquarters in Bergen with the aim to increase operational efficiency and enable even closer integration between the technical and financial arms of the Company. The process was completed according to plan in November. As a consequence of the co-location both the CEO and the CFO, residing in Stavanger and Oslo respectively, elected to resign

from the Company. CEO Chris Spencer was replaced by Terje Arnesen, whilst CFO Tommy Sundt was replaced by Hans Petter Klohs.

At the end of 2014, Rocksource employed 29 employees, a reduction from 33 at year end 2013. The Company aims to have a good gender balance and is an equal opportunity employer. At year end 2014, the Company employed 11 females and 18 males.

The sickness absence rate remained low throughout the year at 1.2 per cent of total hours worked. The low sickness absence ratio is an indicator of the Company's good working environment.

At an Extraordinary General Meeting on 2 February 2015, a new Board of Directors was elected. Out of the three directors elected, one was female.

CONSOLIDATED INCOME STATEMENT, CASH FLOW AND FINANCIAL POSITION

RESULT FOR THE YEAR

Total revenue for 2014 was NOK 16.4 million compared with NOK 59.3 million for 2013. Total exploration expenses in 2014 were NOK 282.3 million compared with NOK 221.7 million in 2013. Exploration expenses include NOK 83.6 million related to the Ivory discovery in PL 528 B following an impairment test.

EBITDA for 2014 was negative at NOK 279.5 million versus a negative NOK 173.7 million for 2013. Total net financial income was NOK 34.6 million versus a net financial income of NOK 9.2 million for 2013. Net financial income was impacted by a NOK 44.5 million currency gain due to the strengthening of the USD/NOK exchange rate during the year.

The Group received a tax return refund of NOK 93.8 million in 2014. Income tax in 2014 was NOK 216.3 million, compared with NOK 150.5 million in 2013.

The net loss for 2014 amounted to NOK 60.3 million compared with a loss in 2013 of NOK 39.3 million. The net loss amounts to both basic and diluted earnings of minus NOK 0.652 per share (NOK 0.451 per share in 2013).

FINANCING, CASH FLOW AND FINANCIAL POSITION

Rocksource's total balance sheet as of 31 December 2014 was NOK 665.7 million compared with NOK 305.5 million at year-end 2013. The increase from 2013 is mainly a result of an increase in tax receivables and capitalised costs related to the Pil discovery.

Equity as of 31 December 2014 was NOK 89.1 million compared with NOK 154.3 million at year end 2013, giving an equity ratio of 13.4 per cent, down from 50.5 per cent at year end 2013. The Company's equity base was significantly strengthened following the completion of the NOK 210 million rights issue in February 2015.

The cash position at year end 2014 was NOK 95.0 million, down from NOK 127.2 million at year end 2013. Net cash flow from operating activities totalled minus NOK 127.9 million compared with a positive NOK 80.7 million for 2013. The 2013 figure included a NOK 238.3 million tax refund on exploration expenses and corporate restructuring.

Net cash flow from investing activities in 2014 was negative at NOK 174.3 million versus minus NOK 18.2 million in 2013.

The book value of the Group's interest bearing debt was NOK 330.7 million at year end 2014, related to the NCS exploration credit facility with SEB. Interest bearing debt at year end 2013 was NOK 98.0 million.

Total drawdown on the NCS exploration credit facility in 2014 was NOK 321.4 million. This loan balance related to the exploration credit facility will be repaid in full when the Company receives its exploration tax refund in December 2015. Accordingly, the previous NCS exploration credit facility of NOK 87.0 million, which related to 2013 exploration expenses, was repaid when the Company received its exploration tax refund in December 2014.

ROCKSOURCE ASA - INCOME STATEMENT, BALANCE SHEET AND CASH FLOW

Rocksource ASA is the parent company of the Rocksource group. Its financial statements have been prepared on the assumption that Rocksource will continue as a going concern. This going concern assumption is founded on the same expectations on which the Board of Directors has based its plans for development of Rocksource ASA as described above, and satisfactory liquidity.

Rocksource ASA's total operating income in 2014 was NOK 1.5 million (NOK 4.6 million in 2013). The operating result for 2014 was negative NOK 9.8 million (negative NOK 5.5 million in 2013).

Rocksource ASA's 2014 tax expense was nil compared with a tax expense of NOK 1.6 million in 2013.

Net profit for Rocksource ASA for 2014 was NOK 6.7 million compared with a net profit of NOK 5.7 million in 2013. The Board of Directors proposes that the profit for the year in the parent company is allocated to paid-in capital.

Equity as of 31 December 2014 was NOK 261.7 million compared with NOK 215.3 million at year-end 2013.

SHARE INFORMATION

As at 31 December 2014 Rocksource ASA had 98,371,500 shares outstanding and a total of 5 489 treasury shares, each with a nominal value of NOK 0.10. All shares have equal rights. The share price on the last day of trading in 2014 was NOK 5.20, while on the last day of trading in 2013 the share price was NOK 0.73, representing a 610 per cent increase over the year. The share price peaked at NOK 5.89 on 8 December, while the lowest price in 2014 was NOK 0.79 on 2 January.

FINANCIAL MARKET RISK

The Company is primarily exposed to risk in connection with fluctuations in exchange rates and interest rates. With no producing assets, Rocksource's business is not greatly affected by short term fluctuations in oil and gas prices.

The Company is exposed to currency exchange rate risk to a certain degree. This primarily relates to the US dollar as activities are often linked to contracts quoted in this currency. Exposure to the US dollar will increase in periods when the Company participates in drilling operations.

The Company is exposed to a moderate element of interest rate risk as a result of the exploration credit facility. In light of very moderate sales and the fact that the Company has no placements in the capital market, the Board of Directors considers the credit risk to be low. However, the Company remains focussed on counterparty risk in all its transactions to avoid any unwanted exposure.

CORPORATE GOVERNANCE

Rocksource complies with the Norwegian Code of Practice for Corporate Governance dating 30 October 2014 (the Code of Practice) with the exception of section 8 "Corporate assembly and board of directors; composition and independence". Pursuant to the Code of Practice section 8, at least two of the shareholder elected board members should be independent of the main shareholders. As only one of the board members is considered to be independent, the Company is not in compliance with the Code of Practice on this point. Due to the current shareholder structure, where the main shareholder holds more than 85% of the shares, the Company believes that the deviation is justifiable. The Code of Practice issued by the Norwegian Corporate Governance Board is available at www.nues.no.

Rocksource focuses in particular on business practices, communications with shareholders and the market, owner influence and independence. In accordance with the Norwegian Accounting Act section 3-3b and the Code of Practice, the Company has prepared a report for each of the individual points contained therein. The report is included in the Annual Report.

CORPORATE SOCIAL RESPONSIBILITY, ETHICS AND ANTI-CORRUPTION

All business conducted by or on behalf of Rocksource shall be in accordance with applicable laws and regulations and will be conducted in a safe, ethical, sustainable and socially responsible manner.

No code or manual can provide definitive answers to all questions relating to ethics in business practice. Ultimately, the Company must rely on the good sense and judgment of the individual conducting business on behalf of Rocksource, to define what is required to adhere to its standards in its Business Practices available on the Company's website. This includes knowing when to seek guidance, and the ability to provide timely and specific guidance. Rocksource emphasizes the importance of maintaining an open dialogue on ethical issues, internally and externally.

The Company's ability to create sustainable value in the long term fully depends on its ability to apply high ethical standards in all parts of its operations. This is the basis for a trust-based and binding relationship with the community, the Company's owners, employees, partners, customers and suppliers.

Rocksource aspires to create an inclusive work environment where every employee has an equal opportunity to develop his or her skills and talents. Rocksource respects the rights and dignity of all employees.

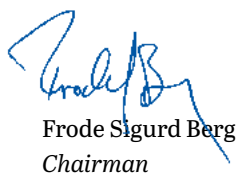
The direct or indirect offer, payment, soliciting or acceptance of bribes or facilitation payments in any form is unacceptable. Rocksource will not offer or make an unauthorized payment, or authorize an improper payment (cash or otherwise) to a local or foreign official, or any related person or entity.

OUTLOOK

Rocksource's principal focus remains on high impact exploration on the NCS. The 2015 drilling programme on PL 586 fits nicely into this strategy, having the potential to more than double the current discovered resource base. Following recent funding events described above, Rocksource is now fully funded to explore this upside potential. However, the Company fully recognises the present market conditions with low oil price and cost focus in the industry, and will be prudent with regards to capital spending going forward. The market turmoil will however also lead to interesting opportunities that will be followed closely.

Apart from the PL 586 follow up programme, the Company currently has no wells scheduled for 2015. However, Rocksource will continue to enhance its portfolio with the goal to develop high quality exploration targets for drilling in 2016 and beyond. The Company continues its efforts to divest its non-core GoM portfolio.

Bergen, 23 April 2015



Frode Sigurd Berg
Chairman



Liv Marit Lundby
Board Member



Robert John Arnott
Board Member



Terje Arnesen
Chief Executive Officer



Financial calendar 2015

Rocksource ASA will present the financial statements on the following dates in 2015:

Q1

2015

interim financial report

21 MAY

Q2

2015

interim financial report

20 AUGUST

Q3

2015

interim financial report

18 NOVEMBER

Time and venue will be communicated at a later stage.

All dates are subject to change.

The Annual General Meeting is expected to be held on 21 May 2015.

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INCOME STATEMENTS

01.01–31.12

Figures in NOK 1000

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2014

2013¹**OPERATING INCOME**

Revenue		16 432	59 282
Total operating income	1, 22	16 432	59 282

OPERATING EXPENSES

Exploration expenses	1, 3	-282 335	-221 720
Other general and administrative expenses	1, 2, 4, 16, 21	-13 552	-11 253
Depreciation and amortisation	1, 7, 8	-1 710	-1 857
Impairment charge	1, 8	-	-10 000
Total operating expenses		-297 597	-244 830

Operating profit/(loss)		-281 166	-185 547
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FINANCIAL INCOME/(EXPENSES)

Share of income/(loss) in associates	1, 5, 14	3 605	-
Financial income	1, 5	48 122	20 363
Financial expenses	1, 5, 18	-17 125	-11 210

Net financial income/(expenses)		34 602	9 153
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Profit/(loss) before taxes		-246 564	-176 396
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Income tax	1, 6	216 337	150 521
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Net profit/(loss) from continuing operations		-30 227	-25 874
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Net profit/(loss) from discontinued operations	1, 23	-30 095	-13 422
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Net profit/(loss)		-60 322	-39 296
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Attributable to:

Equity holders of the parent		-60 322	-39 296
Minority interest		-	-

Net profit/(loss)		-60 322	-39 296
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Earnings per share

Basic and diluted earnings per share (NOK)	11, 12	-0.652	-0.451
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Earnings per share from continued operations

Basic and diluted earnings per share (NOK)	11, 12	-0.327	-0.297
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1) Restated to reflect classification of operations in the Gulf of Mexico as discontinued operation

STATEMENTS OF COMPREHENSIVE INCOME

Figures in NOK 1000

	2014	2013
Net profit/(loss)	-60 322	-39 296
<i>Other comprehensive income to be reclassified to profit and loss in subsequent periods:</i>		
Exchange differences on translating foreign operations	-44 517	-18 829
Total comprehensive income/(loss) for the period	-85 570	-58 125
Total comprehensive income attributable to:		
Equity holders of the parent	-85 570	-58 125
Minority interest	-	-
Total comprehensive income/(loss) for the period	-85 570	-58 125

STATEMENTS OF FINANCIAL POSITION AS OF 31.12

Figures in NOK 1000

Notes

2014

2013

ASSETS

NON-CURRENT ASSETS

Intangible assets

Capitalised exploration and acquisition costs	8	191 378	46 464
Total intangible assets		191 378	46 464

Tangible assets

Furniture, fixtures and office machines	7	1 252	2 914
Total tangible assets		1 252	2 914

Total non-current assets		192 631	49 378
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CURRENT ASSETS

Accounts receivable	9	-	26 687
Tax receivable NCS	6	345 859	90 994
Other receivables	9	14 420	11 218
Cash and cash equivalents (restricted)	10, 19	32 823	4 903
Cash and cash equivalents	10, 19	62 201	122 285
Total current assets		455 303	256 087

Asset classified as held for sale	23	17 765	-
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TOTAL ASSETS		665 699	305 465
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Figures in NOK 1000

Notes

2014

2013

EQUITY AND LIABILITIES

EQUITY

Paid-in capital

Share capital	11	9 837	8 706
Treasury shares	11	-22	-22
Share premium		125 426	86 927
Currency translation differences		-14 346	30 171
Additional paid-in capital		902 374	902 374
Total paid-in capital		1 023 268	1 028 155

Retained losses

Retained earnings/(losses carried forward)		-934 185	-873 864
Total equity		89 083	154 291

LIABILITIES

Non-current liabilities

Deferred tax liabilities	6	138 499	6 162
Total non-current liabilities		138 499	6 162

Current liabilities

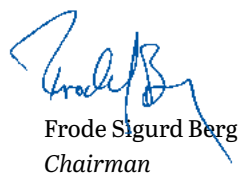
NCS credit facility	18, 19	330 666	98 014
Accounts payable and other payables	15, 19	107 039	45 811
Other current liabilities	15, 19	414	1 187
Total current liabilities		438 118	145 012

Liabilities classified as held for sale	23	-	-
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Total liabilities		576 617	151 174
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TOTAL EQUITY AND LIABILITIES		665 699	305 465
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Bergen, 23 April 2015



Frode Sigurd Berg
Chairman



Liv Marit Lundby
Board Member



Robert John Arnott
Board Member



Terje Arnesen
Chief Executive Officer

CASH FLOW STATEMENTS

Figures in NOK 1000

Notes

2014

2013 ¹

OPERATING ACTIVITIES

Profit/(loss) before taxes from continued operations		-246 564	-176 396
Profit/(loss) from discontinued operations	23	-30 095	-13 422
Profit/(loss) before taxes		-276 659	-189 819

Adjustments for:

Net interest expenses/(income)	5	14 576	6 906
Sale of shares in associates	14	-3 605	-
Tax refund NCS exploration expenses	6	93 808	238 259
Depreciation, amortisation and impairment	7, 8	1 710	11 887
Previously capitalised exploration expenses	3	68	89 170
Share-based remuneration	21	-	-62
Interest received		1 942	3 665
Interest paid		-15 757	-9 128
Changes in accounts receivable	9	26 687	-25 974
Changes in accounts and other payables	15	61 228	-18 249
Changes in other current balance sheet items		-31 878	-25 962
Net cash flow from operating activities	1	-127 880	80 694

INVESTING ACTIVITIES

Proceeds from sale of assets	14	1 064	-
Additions to tangible assets and capitalised exploration expenses	7, 8	-175 340	-18 183
Net cash flow from investing activities	1	-174 277	-18 183

FINANCING ACTIVITIES

Net capital increase	11	39 631	-
Proceeds from issuance of short term debt	18	316 610	97 192
Repayment of short term debt	18	-87 027	-121 500
Net cash flow from financing activities	1	269 213	-24 308

Effect of changes in exchange rates on cash and cash equivalents		779	185
Net change in cash and cash equivalents		-32 163	38 389

Cash and cash equivalents 01.01	10	127 188	88 800
Cash and cash equivalents 31.12	10	95 024	127 188
Where of restricted cash:		32 823	4 903

1) Restated to reflect classification of operations in the Gulf of Mexico as discontinued operation.

STATEMENTS OF CHANGES IN EQUITY

Figures in NOK 1000	Notes	Share capital	Treasury shares	Share premium	Additional paid-in equity	Currency translation differences	Retained losses	Total equity
Equity 1 January 2014	11	8 706	-22	86 927	902 374	30 171	-873 865	154 291
Net profit/(loss) for the period		-	-	-	-	-	-60 322	-60 322
Exchange differences on translating foreign operations		-	-	-	-	-44 517	-	-44 517
Total comprehensive income/(loss)		-	-	-	-	-44 517	-60 322	-104 839
Net capital increase ¹	11	1 132	-	38 499	-	-	-	39 631
Equity 31 December 2014	11	9 837	-22	125 426	902 374	-14 346	-934 185	89 083

(1) Transaction costs related to issued share capital amounts to TNOK 3 370.

Equity 1 January 2013	11	8 706	-22	86 927	902 436	49 000	-834 568	212 478
Net profit/(loss) for the period		-	-	-	-	-	-39 296	-39 296
Exchange differences on translating foreign operations		-	-	-	-	-18 829	-	-18 829
Total comprehensive income/(loss)		-	-	-	-	-18 829	-39 296	-58 125
Share-based remuneration	21	-	-	-	-63	-	-	-63
Equity 31 December 2013	11	8 706	-22	86 927	902 374	30 171	-873 865	154 291

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1. CORPORATE INFORMATION

Rocksource ASA (“the Company”) is a Norwegian company, with the head office located at Thormøhlensgate 53D, Bergen. The Company is a public limited liability company and is listed on the Oslo Stock Exchange (Norway). The object of the Company is to carry out exploration for oil and gas on the Norwegian continental shelf, amongst others by application of advanced technology, and all other activities that may reasonably be associated therewith, hereunder participation in other companies world-wide, including debt financing of subsidiaries and associates. For more details of the Company’s activities, see the Board of Directors’ Report.

The consolidated financial statements for the financial year 2014 include the parent company and all its subsidiaries (together referred to as “the Group”). The Group consists of the parent company based in Norway, with subsidiaries in Norway, the United Kingdom and the US.

The consolidated financial statements were approved by the Board of Directors on 23 April 2015.

2. BASIS OF PREPARATION

A. STATEMENT OF COMPLIANCE

The consolidated financial statements are prepared in accordance with International Financial Reporting Standards (IFRS) of 31 December 2014 as adopted by the EU.

As permitted by IAS 1, the statement of comprehensive income is presented on a mixed basis as a blend of expenses by nature and function, as this gives the most relevant and reliable presentation for the Group.

B. BASIS OF MEASUREMENT

The consolidated financial statements have been prepared on a historical cost basis, except the following: All derivatives, all financial assets and liabilities held for trading are measured at fair value.

C. FUNCTIONAL AND PRESENTATION CURRENCY

The consolidated financial statements are presented in NOK, which is the functional currency for the parent company and the presentation currency of the Group. The financial statements of the individual entities in the Group are measured in the currency used in the economic area in which the

entity primarily operates. All tabular and note amounts are rounded to the nearest thousand, except when otherwise is indicated. The consolidated financial statements are prepared with uniform principles for identical transactions and circumstances under otherwise identical conditions.

D. USE OF ESTIMATES AND ASSUMPTIONS

The preparation of the consolidated financial statements in accordance with IFRS requires that management make considerations and estimates with assumptions that influence the use of accounting principles and recorded amounts for assets, liabilities, income and expenses. Estimates and assumptions are based on historical experience and other factors that are considered reasonable according to the circumstances. These calculations form the basis for an assessment of the carrying amount of assets and liabilities that do not emerge clearly from other sources. Actual results can differ from these estimates. Estimates and underlying assumptions are continually evaluated. Changes in accounting estimates are calculated in the period that the changes occur, if they concern that particular period. If the changes affect future periods, the effect is distributed over the current and future periods.

EXPLORATION AND EVALUATION EXPENDITURES

The application of the Group’s accounting policy for exploration and evaluation expenditure requires judgement to determine whether future economic benefits are likely, from future either exploitation or sale, or whether activities have not reached a stage which permits a reasonable assessment of the existence of reserves. The determination of reserves and resources is itself an estimation process that requires varying degrees of uncertainty depending on how the resources are classified. These estimates directly impact when the Group defers exploration and evaluation expenditure. The deferral policy requires management to make certain estimates and assumptions about future events and circumstances, in particular, whether an economically viable extraction operation can be established. Any such estimates and assumptions may change as new information becomes available. If, after expenditure is capitalised, information becomes available suggesting that the recovery of the expenditure is unlikely, the relevant capitalised amount is written off in the income statement in the period when the new information becomes available.

IMPAIRMENT TESTING OF INTANGIBLE ASSETS

The Group's non-current assets including exploration assets are impaired when circumstances indicate that there may be a potential decline in value. Estimating recoverable amounts of assets are partly based on management evaluations, including estimates of future performance, revenue generating capacity of the assets, and assumptions of the future market conditions. Changes in circumstances and in management's evaluations and assumptions may give rise to impairment losses in the relevant periods.

Intangible assets are reviewed for impairment whenever events or changes indicate that the carrying value may not be recoverable. This requires an estimation of certain key input that includes a considerable degree of uncertainty.

DEFERRED TAX ASSETS

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies. See note 6 for further information.

CONTINGENT LIABILITIES

Contingent liabilities are possible future liabilities that will only become certain on the occurrence of some future events. Material contingent liabilities are disclosed, with the exception of contingent liabilities where the probability of occurrence is low.

For more information, please see the notes Income tax and Contingent commitments, agreements and contingencies.

E. CHANGES IN ACCOUNTING POLICIES AND DISCLOSURES

The Group applied new and amended standards, and interpretations mandatory for the first time for the financial year beginning 1 January 2014. These are IFRS 10 Consolidated Financial Statements, IFRS 11 Joint Arrangements, and IFRS 12 Disclosure of Interests in Other Entities. The standards do not have any material impact for the Group.

IFRS 10 requires Management to exercise significant judgement to determine which entities are controlled and therefore are required to be consolidated by a parent, compared with the requirements that were in IAS 27. This standard was effective for annual periods beginning on or after 1 January 2014.

IFRS 11 removes the option to account for jointly controlled entities (JCEs) using proportionate consolidation. Instead, JCEs that meet the definition of a joint venture must be accounted for using the equity method. IFRS 11 replaces

IAS 31 Interests in Joint Ventures and SIC-13 Jointly Controlled Entities – Non-monetary Contributions by Ventures. The Company has interests in licenses on the Norwegian Continental Shelf. Under IFRS 11 Joint Arrangements a joint operation is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the assets and obligations for the liabilities, relating to the arrangement. The Company recognizes investments in joint operations (oil and gas licenses) by reporting its share of related expenses, assets, liabilities and cash flows under the respective items in the Company's financial statements.

For those licences that are not deemed to be a joint arrangement under the definition in IFRS 11 because there is no joint control, the Company recognizes its share of related expenses, assets, liabilities and cash flows on a line by line basis in the financial statements in accordance with applicable IFRSs.

One of the most significant changes introduced by IFRS 12 is that an entity is now required to disclose the judgements made to determine whether it controls another entity. The requirements are more comprehensive than the previously existing disclosure requirements for subsidiaries. This standard was effective for annual periods beginning on or after 1 January 2014.

IFRS 9, as issued, reflects the first phase of the IASB's work on the replacement of IAS 39 and applies to classification and measurement of financial assets and financial liabilities as defined in IAS 39. If not early adopted, the standard becomes effective 1 January 2015. In subsequent phases, hedge accounting and impairment of financial assets will be addressed.

F. GOING CONCERN

The financial statements are based on the going concern assumption. As of year end 2014 there were uncertainties related to this assessment. However, in February 2015 the Company improved its balance sheet through an equity raise followed by securing a new NCS exploration credit facility which concludes in a fully funded business plan for the remainder of 2015. See also the Board of Directors report and note 19.

3. SIGNIFICANT ACCOUNTING POLICIES

A. BASIS FOR CONSOLIDATION

SUBSIDIARIES

The consolidated financial statements comprise the financial statement of Rocksource and entities controlled by the Company (its subsidiaries). Control is achieved where the Company has the power over investee, can affect the entity's returns, and the exposure to or rights to, variable returns from its involvement with the entity. The Group is required to exercise significant judgement to determine which entities are controlled.

The results of subsidiaries acquired or disposed during the year are included in the consolidated financial statement from the effective date of acquisition or up to the effective date of disposal, as appropriate.

The financial statements of the subsidiaries are prepared for the same reporting period as the parent company, using consistent accounting policies. All intercompany balances and transactions have been eliminated upon consolidation.

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, measured at acquisition date fair value and the amount of any non-controlling interest in the acquiree.

The purchase consideration is allocated to the identifiable assets, liabilities and contingent liabilities (identifiable net assets) on the basis of fair value at the date of acquisition. These provisional estimates are finalised within 12 months of the acquisition date with adjustments being recorded against goodwill.

Goodwill is initially measured at cost, being the excess of the cost of the business combination over the Group's share in the net fair value of the acquiree's identifiable assets, liabilities and contingent liabilities.

If the fair value attributable to the Group's share of the identifiable net assets exceeds the fair value of the consideration, the Group reassesses whether it has correctly identified and measured the assets acquired and liabilities assumed. Any additional assets or liabilities that are identified in that review are recognised. If excess over fair value of the consideration remains after reassessment, the Group recognises the resulting gain in the income statement on the acquisition date.

Transaction costs related to business combinations are expensed. Transaction costs include costs related to the transaction, such as corporate advisors' fees, legal fees, due diligence fees, stamp duties, and accounting services.

Acquisitions made by the Company which do not qualify

as a business combination under IFRS 3 "Business Combinations", are accounted for as asset acquisitions.

INVESTMENT IN AN ASSOCIATE

The Group's investment in associates is accounted for using the equity method of accounting. An associate is an entity in which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control of those policies.

The financial statements of the associate are prepared for the same reporting period as for the Group. If an associate uses accounting policies other than those of the Group for like transactions and events in similar circumstances, adjustments are made to make the associate's accounting policies conform to those of the Group when the associate's financial statements are used by the Group in applying the equity method.

The investment in an associate is recognized at cost, and the carrying amount is increased or decreased to recognise the Group's share of the profit or loss of the associate after the date of acquisition. The Group's share of the associate's profit or loss is recognised in the Group's profit or loss. Distributions received from an associate reduce the carrying amount of the investment. Adjustments to the carrying amount may also be necessary for changes in the Group's proportionate interest in the associate arising from changes in the associate's other comprehensive income. Such changes include those arising from the revaluation of property, plant and equipment and from foreign exchange translation differences. The Group's share of those changes is recognised in other comprehensive income.

The Group assesses investments in associates for impairment whenever events or changes in circumstances indicate that the carrying value may not be recoverable. If any such indication of impairment exists, the carrying amount of the investment is compared with its recoverable amount, being the higher of its fair value less costs to sell and value in use. Where the carrying amount exceeds the recoverable amount, the investment is written down to its recoverable amount.

INTEREST IN JOINT VENTURES

Certain of the Group's activities, particularly in the exploration segment, are conducted through joint ventures. A joint venture is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement. The Group recognises its interest in a joint venture as an investment and accounts for that investment using the equity method.

The Group does not recognise its share of profits and losses from the joint venture that result from the Group's

purchase of assets from the joint venture until it divests the assets to an independent party. However, if a loss on the transaction provides evidence of a reduction in the net realisable value of current assets or an impairment loss, the loss is recognised immediately.

ELIMINATION OF TRANSACTIONS ON CONSOLIDATION

Internal transactions within the Group and intercompany items, including internal profit and unrealised gains, are eliminated.

B. FOREIGN CURRENCY

The Group presents its consolidated financial statements in NOK. This is also the parent company's functional currency.

TRANSACTIONS MADE IN FOREIGN CURRENCY

Transactions made in foreign currency are translated at the exchange rate valid at the time of the transaction. Monetary assets and liabilities in foreign currency are translated into NOK by using the exchange rate valid at year end. The difference in exchange rates occurring during translation are included in the income statement. Non-monetary assets and liabilities that are measured at historical cost in a foreign currency are translated at the exchange rate at the time of the transaction. Non-monetary assets and liabilities with amounts in foreign currency and accounted for at fair value, are translated to NOK by use of the exchange rate applicable at the time when the fair value was established.

FINANCIAL STATEMENTS FOR FOREIGN ENTITIES

Assets and liabilities for foreign entities, including goodwill and fair value adjustments that occur upon consolidation, are translated into NOK at the exchange rate valid at year-end. Income and expenses from foreign entities are translated into NOK at a monthly average exchange rate. The exchange differences arising at translation are recognised in the statements of comprehensive income.

On disposal of a subsidiary, the deferred cumulative amount of exchange gains and losses recognised in equity is reclassified to the income statement.

C. FAIR VALUE MEASUREMENT

For both financial statement measurement and note disclosure, fair value is estimated using inputs which are to varying degrees objectively observable. Certain items are valued on the basis of inputs that are derived from observable prices, while certain positions are valued on the basis of judgmental assumptions that are to a limited degree or not at all based on observable market data.

D. FINANCIAL INSTRUMENTS – INITIAL RECOGNITION AND SUBSEQUENT MEASUREMENT

NON-DERIVATIVE FINANCIAL ASSETS AND FINANCIAL LIABILITIES

INITIAL RECOGNITION AND MEASUREMENT

Financial assets and financial liabilities within the scope of IAS 39 are classified as financial assets and liabilities at fair value through profit or loss, loans and receivables, derivatives designated as hedging instruments in an effective hedge, loans and borrowings or other financial liabilities as appropriate. The Group determines the classification of its financial assets and liabilities at initial recognition. All financial assets and liabilities are recognised initially at fair value plus, in the case of investments not at fair value through profit or loss, directly attributable transaction costs.

The Group's financial assets include cash and short term deposits, trade and other receivables, loans, and derivative financial instruments. The Group's financial liabilities include accounts payable and other payables, loans and borrowings.

SUBSEQUENT MEASUREMENT

The subsequent measurement of financial assets and liabilities depends on their classification as follows:

- Fair value with changes in value through profit or loss
- Loan and receivable
- Loan and borrowings
- Other liabilities

FAIR VALUE THROUGH PROFIT AND LOSS

Financial instruments that are primarily held with the objective of selling them or buying them back in the short term, financial instruments that form part of a portfolio of identified instruments which are managed together and where there are clear traces of short term realisation and derivatives that are not designated as hedging instruments are classified as held for trading purposes.

Upon initial recognition attributable transaction costs are recognised in profit or loss as incurred. Financial assets and liabilities at fair value through profit or loss are measured at fair value, and changes therein are recognised in profit or loss as a financial income or expense. Financial instruments held for trading purposes are classified as current assets or liabilities.

DERIVATIVE FINANCIAL INSTRUMENTS

Derivative financial instruments such as currency and interest rate swaps are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently remeasured at fair value. Derivatives are carried as financial assets when the fair value is positive and as

financial liabilities when the fair value is negative. The derivative financial instrument is not held for trading, and is not designated in a qualifying hedge relationship and all changes in its fair value are recognised immediately in profit or loss.

CASH AND CASH EQUIVALENTS

Cash and cash equivalents with an original maturity of three months or less, include bank deposits and are recorded at nominal value in the financial statements. Restricted deposits are included in the item.

LOAN AND RECEIVABLE

Investment classified as loan and receivable is measured at amortised cost using the effective interest rate method. This classification is used for non-derivative assets with fixed or determinable payments that are not quoted in an active market. Profit and loss is recognised in the income statement when the loan or receivable is derecognised, impaired or through the amortisation process.

LOAN AND BORROWINGS

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortised cost using the effective interest rate method.

INTEREST BEARING LIABILITIES

Interest bearing liabilities, including debt, are initially measured at fair value, net of transaction costs. Other financial liabilities are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis. The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that discounts estimated future cash payments through the expected life of the financial liability, or, where appropriate, a shorter period.

OTHER LIABILITIES

Accounts payable and other short term liabilities are recorded in the financial statements at cost. Financial liabilities that are not held for trading purposes, and which have not been designated as being at fair value with changes in value through profit or loss, are classified as other liabilities.

E. TANGIBLE ASSETS

FURNITURE, FIXTURES AND OFFICE MACHINES

RECOGNITION AND MEASUREMENT

Tangible assets are recorded in the financial statements at historical cost, less accumulated depreciation and impairment. When parts of the tangible assets have different useful

lives, these are recorded in the financial statements as separate items.

An item of tangible assets is derecognised upon disposal or when no economic benefits are expected from its use or disposal. Any profit or loss arising on derecognising of the asset, calculated as the difference between the net disposal proceeds and the carrying amount of the asset, is included in the income statement in the year the asset is derecognised.

SUBSEQUENT COSTS

Costs for replacement of parts of equipment are recorded as an asset, when the cost is assumed to give the Group an economic benefit related to the replacement, and the expense of the replaced parts can be reliably measured. All other costs are recorded in the financial statements for the actual period.

DECOMPOSITION

Substantial cost components included in larger installations are identified individually for an evaluation of the actual components' expected economic useful lives and recoverable amount. The individual expected economic useful life is the basis for depreciation.

DEPRECIATION

Depreciation is calculated on a straight-line basis over the useful lives of the assets, taking into account any material residual value. The useful lives can be summarised as follows: Furniture, fixture and office machines: 3 to 5 years.

The assets' residual values, useful lives and methods are reviewed, and adjusted if appropriate, at each financial year end.

F. INTANGIBLE ASSETS

GOODWILL

After initial recognition, goodwill is measured at cost, less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash generating units that are expected to benefit from the synergies of the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

RESEARCH AND DEVELOPMENT

Research costs are expensed as incurred.

Costs of development activities, where the research result is used in a plan or model for the production of new or considerably improved products or processes, are recorded as an asset if the product or process is technically and commercially viable.

Capitalised development costs are recorded as an asset at

cost, less accumulated depreciation and write-downs. The development costs are depreciated from the date they are available for use, and depreciated on a straight line basis over the estimated useful life, which is 5 years.

LICENCES

Oil-related licences and capitalised exploration and evaluation costs are classified as intangible assets until plan for development and operation has been approved. Capitalised amounts will be transferred to tangible fixed assets and will be depreciated in accordance with the units-of-production method when approval is granted. When oil-related exploration licences are purchased, the cost price will be capitalised as an intangible asset. After initial recognition they will be treated in accordance with the general principles for intangible assets. Under the successful efforts method, costs associated with drilling of exploratory wells and evaluation costs are capitalised. Capitalised amounts are classified as intangible assets and are treated according to general valuation rules. Exploration and evaluation costs related to unsuccessful drilling that is considered not commercially recoverable are charged to expense. Capitalised exploration and evaluation costs are transferred to tangible fixed assets, if it is decided to further develop the project.

IMPAIRMENT

See section 3 G.

SUBSEQUENT COSTS

Subsequent costs concerning intangible assets are recognised in the financial position when they increase the future economic benefits related to the asset. All other costs are recorded in the income statements in the actual period.

G. IMPAIRMENT

NON-FINANCIAL ASSETS

The carrying amount of the Group's assets is reviewed at least annually or whenever changes in circumstances indicate that the carrying value may not be recoverable. If such indications are present, an estimate is made of the recoverable amount of the asset.

The recoverable amount is reviewed annually for intangible assets that are still not available for use, including exploration and development costs in connection with oil and gas properties. Impairment is recorded in the financial statements when the carrying amount of the asset or the cash flow generating unit (CGU) exceeds the recoverable amount. Normally, CGUs are individual oil and gas fields. In impairment evaluations, the carrying amounts of CGUs are determined on a basis consistent with that of the recoverable amount. Impairment is recorded in the income statement.

Unproved oil and gas properties are assessed for impairment when facts and circumstances suggest that the carrying amount of the asset may exceed its recoverable amount, and at least once a year. Exploratory discovery wells that have found reserves, but where classification of those reserves as proved depends on whether major capital expenditure can be justified or where the economic viability of that major capital expenditure depends on the successful completion of further exploration work, will remain capitalised during the evaluation phase for the exploratory finds. Thereafter it will be considered a trigger for impairment evaluation of the discovery if no development decision is planned for the near future, and there moreover are no concrete plans for future drilling in the licence.

Impairment for cash flow generating units is distributed by reducing the carrying amount of any goodwill in cash flow generating units. The remaining impairment is then distributed among the remaining assets according to their carrying amount.

CALCULATION OF RECOVERABLE AMOUNT

Recoverable amount is the higher of net sales price and net present value. Net present value is calculated by discounting expected future cash flows to present values by using discount rates before tax that reflect the value of money and the risk related to the specific asset. For assets that do not generate independent cash flows, the recoverable amount is compared with the cash flow generating unit the asset belongs to.

REVERSING IMPAIRMENT

Impairment of goodwill is not reversed. A previous recognised impairment loss is reversed only if there has been a change in the estimates used to determine the recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised in prior years.

FINANCIAL ASSETS

Financial assets valued at amortised cost are written down when it is probable, based on objective evidence, that the instrument's cash flows have been negatively affected by one or more events occurring after the initial recognition of the instrument. The impairment loss is recognised in the income statement. If the reason for the impairment loss disappears in a later period and this disappearance can be objectively linked to an event that takes place after the impairment loss has been recognised, the previous write-down is reversed. The reversal must not result in the carrying amount of the financial asset exceeding the amount that the amortised cost would have been if the impairment loss

had not been recognised on the date when the write-down was reversed. The reversal of a previous impairment loss is presented as income.

H. FARM-IN/FARM-OUT

A farm-in/farm-out involves a situation where the owner of a working interest transfers all or a portion to another party (the farminee) in return for a farminee's performance of some agreed upon action. For example, the farminee may agree to undertake the exploration of a property, drill a well(s), or develop the property. In return, the farm-inor agrees to transfer all or a portion of the working interest in the property to the farminee.

In a Farm-In, Rocksource capitalise or expense the exploration, drilling and development costs as incurred in accordance with the successful efforts method. Rocksource does not record any receivable nor any of its costs assigned to the acquisition of a mineral interest. In other words, Rocksource may capitalise wells and equipment costs but not capitalised property acquisition costs. There are no accruals for future commitments in farm-in/farm-out agreements in the exploration and evaluation phase, and no profit or loss is recognised. In the development phase, a farm-in/farm-out agreement will be treated as a transaction recorded at fair value as represented by the costs carried.

A farm-in/farm-out agreement is recognised when the risk and reward is transferred, which normally is at the time necessary governmental approval is obtained.

I. ACCOUNTS RECEIVABLE AND OTHER SHORT TERM RECEIVABLES

Accounts receivable and other short term receivables are recognised initially at fair value. In connection with the sale of goods and services fair value will generally coincide with invoiced amount. Receivables are subsequently valued at amortised cost, determined using effective interest rate method less provisions for bad debt. Bad debt provisions are recognised when there are objective indications that the Group will not receive settlement in accordance with the original terms.

J. EQUITY

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares and share options are recognised as a reduction of equity net of any tax effects. See section 2 C for currency translation differences.

K. LEASING EXPENSES

The determination of whether an arrangement is or contains a lease is based on the substance of the arrangement when agreed and depends on whether the fulfilment of the arrangement is subject to the use of a specific asset(s), or the

arrangement conveys a right to use the asset.

Leases are classified as financial leases if the terms of the lease agreement transfer substantially all risk and benefits incidental to the ownership of the leased item. Other leases are classified as operational lease.

Financial leased assets are depreciated over the shorter of the estimated useful life and the lease period.

For operational leases, the payments are charged to the income statement on a straight line basis over the period of the lease.

L. BENEFITS TO EMPLOYEES

PENSION ARRANGEMENTS

The Group has only defined contributions plans. Contributions are paid to pension insurance plans and charged to the income statement in the corresponding period. Once the contributions have been paid, there are no further payment obligations.

SHARE-BASED REMUNERATION

Based on an authorisation granted by the Annual General Meeting on 28 May 2014, the Board of Directors may implement an equity-settled, share-based compensation plan where employees are granted options to buy shares in the parent company. No options have been granted per date of this report. Fair value of granted options is recorded at cost with a corresponding increase in equity and is measured at the date they are granted. The cost is recorded over the period in which the performance conditions are fulfilled, ending on the date when they become fully entitled to the award ("vesting date"). The fair value is determined by using the Black-Scholes model. Volatility is calculated based on historical developments in the share price. If the share options are vested at the grant date, the fair value of granted options is recorded as an expense in the financial statement at the grant date.

M. PROVISIONS

A provision is recorded when the Group has a present legal or constructive obligation as a result of past events and it is probable that payments will be demanded from the Group to fulfil the obligation.

N. REVENUE RECOGNITION

Revenue including sale to licenses where Rocksource is the operator, is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duty.

Licences, or parts of licences, that are disposed of are recognised at the time of the transaction. Any gain or loss is recognized in other operating income.

Interest income is recorded in the financial statements based on the effective interest method, as the interest is earned. Dividends are recorded at the date that the right to receive payment is established, i.e. following an approval from the General Meeting of the company paying the dividend.

O. INCOME TAXES

The tax expense consists of tax payable and changes to deferred tax. Tax payable and deferred taxes are recorded directly in equity to the extent that they relate to factors that are recorded directly in equity.

Deferred tax/tax assets are calculated on all taxable temporary differences at the balance sheet date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes except goodwill. Tax increasing and tax decreasing temporary differences, as well as tax losses carried forward which are offset or can be offset in the same period, are recorded net, and are the basis for deferred tax assets for the Group. Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

Net deferred tax assets are recorded as intangible assets and net deferred tax liabilities are recorded as long term liabilities. Deferred tax assets are recorded to the extent that sufficient taxable profit will be available to allow the deferred tax assets to be utilised.

Oil companies that operate on the Norwegian Continental Shelf are subject to the Norwegian oil taxation regime. Under this regime oil companies that are not in a taxable position can claim a 78 per cent refund of its exploration costs, limited to the taxable loss for the current year. The deferred tax can only be netted off within each tax regime.

P. RELATED PARTIES

Parties are related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions. Key management is also considered to be a related party. All transactions between the related parties are recorded at estimated market value.

Q. EARNINGS PER SHARE

The calculation of basic earnings per share is based on the profit attributable to ordinary shareholders using the weighted average numbers of shares outstanding during the

year after deducting the average number of treasury shares held over the period.

R. SEGMENT INFORMATION

Operating segments are reported in accordance with the internal reporting provided to the group executive management (chief operating decision-makers), who are responsible for allocating resources to and assessing the performance of the operating segments.

S. SUBSEQUENT EVENTS

Subsequent events consist of new information concerning events existing at year end. Information regarding events existing at year end will affect the financial statements while information regarding events after year end does not affect the financial statements. Regardless of the effect on the financial statements, material events arising after year end are disclosed in the notes.

T. CASH FLOW STATEMENT

The Group reports its cash flow statement according to the indirect method. This means that net profit/loss for the year is adjusted for the effect of transactions with no cash flow effect and liabilities/accruals to display net cash flows from operating activities. Items associated with investment and financing activities are shown separately.

U. DISCONTINUED OPERATIONS AND NON-CURRENT ASSETS HELD FOR SALE

Non-current assets and disposal groups are classified as held for sale if their book values will be recovered through sale rather than continued use. This condition is deemed to be fulfilled if a sale is highly probable and the asset (or disposal group) is available for immediate sale in its current condition. Management at the relevant level must have made a commitment to complete the sale and the transaction must be expected to be completed within one year of the classification date. Non-current assets (and disposal groups) that are classified as held for sale are measured at the lower of previous book value and net sales value, and are not depreciated.

A discontinued operation is a segment that has been classified as held for sale, and which represents a material business area. Net profits or losses after tax for discontinued operations are reported separately in income from continuing operations. Results from the previous periods for discontinued operations are reclassified in order to obtain comparable figures. Assets and liabilities classified as held for sale are presented on separate lines in the balance sheet under current assets and current liabilities respectively. Previous periods are not restated in the balance sheet.

NOTES

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NOTE 1 SEGMENT INFORMATION

The information is organised by operating segments, in addition geographical information is provided. The reporting format is based on the Group's management and internal reporting structure as well as risk and reward similarities, and the key management is considered to be the chief decision maker in the Group.

Transfer pricing between segments is based on estimated market value. The segment result, assets and liabilities include items that are directly related to the segments. The segment "Non allocated" are mainly "Onshore Oil & Gas activities" before sale, intercompany sales, interest-bearing loans and other associated expenses and assets related to administration of the Group.

The segments' investment expenses comprise total expenses in the period for the acquisition of assets that have an expected useful life of more than one year.

OPERATING SEGMENTS

The Group reports along the main business segments based on the area of operation. The geographical location determine the area of operations.

The Group got the following operating segments:

- Offshore oil and gas: Exploration activities
- Geo-technical activities: Development and employment of advanced technology for the integrated interpretation of geological, seismic and electromagnetic data for the identification of hydrocarbon reserves.

	Offshore Oil & Gas activities		Geo-technical activities		Non-allocated activities		Total	
Figures in NOK 1000	2014	2013	2014	2013	2014	2013	2014	2013
Operating income, external	14 201	32 179	2 230	27 104	-	-	16 432	59 283
Operating income, internal	3 927	10 745	7 660	-	-11 588	-10 745	-	-
Exploration expenses	-282 335	-221 720	-	-	-	-	-282 335	-221 720
Other general and administrative expenses	-14 784	-14 518	-10 356	-7 480	11 588	10 745	-13 552	-11 253
Depreciation, amortisation and impairment ¹	-1 710	1 024	-	-12 881	-	-	-1 710	-11 857
Operating profit/(loss)	-280 700	-192 290	-466	6 742	-	-	-281 166	-185 547
Net financial income/(expenses)	30 847	8 364	3 755	788	-	-	34 602	9 152
Net profit/(loss) before taxes	-249 853	-183 926	3 289	7 529	-	-	-246 564	-176 396
Income tax	216 337	150 521	-	-	-	-	216 337	150 521
Net profit/(loss) from continued operations	-33 517	-33 406	3 289	7 529	-	-	-30 227	-25 875
Total assets	661 252	282 427	4 447	23 038	-	-	665 699	305 465
Total liabilities	576 584	150 022	33	1 153	-	-	576 617	151 174
Cash flow from operating activities	-146 540	78 362	18 660	2 333	-	-	-127 880	80 695
Cash flow from investing activities	-175 340	-18 183	1 064	-	-	-	-174 277	-18 183
Cash flow from financing activities	269 213	-24 308	-	-	-	-	269 213	-24 308

(1) See note 8 for information on impairment

Revenue from sale to license partners as an operator represents NOK 12.2 million out of total operating income of NOK 16.4 million in 2014.

The negative income in segment "Non-allocated activities" represents intercompany sales. See note 20 Related parties for more information.

GEOGRAPHIC INFORMATION

The Group's oil and gas activity is operated on a global basis. The Group also participates in exploration licences on the Norwegian Continental Shelf (NCS), the UK Continental Shelf and in the Gulf of Mexico. The activities on NCS are operated through Norwegian subsidiaries. The activity in the US and the UK are operated through domicile in those countries. From 2015, there is no activity left in the UK. Geographic segments are mainly based on the Group's corporate structure. The participation in projects/licences without formal company legislation agreements is based on the geographic location of the activity. Goodwill upon acquisition is recognised with the company making the acquisition in its geographic location. The segment "Other regions" includes different projects in the UK and India.

The overall financing has been done in the parent entity Rocksource ASA, which again finances the various subsidiaries/ business segments. Hence, financing, financial items and working capital are not allocated amongst these. The subsidiary Rocksource Exploration Norway AS has in addition to financing through the parent company, an exploration credit facility with SEB Merchant Bank.

	Norway		USA		Other regions		Non-allocated		Total	
Figures in NOK 1000	2014	2013	2014	2013	2014	2013	2014	2013	2014	2013
Operating income, external	16 431	54 721	-	-	-	4 562	-	-	16 431	59 282
Operating income, internal	11 588	8 132	-	-	-	-	-11 588	-8 132	-	-
Operating profit/(loss)	-280 729	-185 215	-	-	-437	-332	-	-	-281 166	-185 547
Net financial income/(expenses)	31 642	414	-	-	2 960	8 739	-	-	34 602	9 153
Income tax	216 337	150 521	-	-	-	-	-	-	216 337	150 521
Net profit/(loss) from continuing operations	-32 750	-34 280	-	-	2 523	8 407	-	-	-30 227	-25 874
Net profit/(loss) from discontinued operations	-	-	-30 095	-13 422	-	-	-	-	-30 095	-13 422
Net profit/(loss)	-32 750	-34 280	-30 095	-13 422	2 523	8 407	-	-	-60 322	-39 296
Total assets	635 909	268 857	29 679	36 283	111	324	-	-	665 699	305 465
Total liabilities	576 520	151 070	64	75	33	31	-	-	576 617	151 174
Cash flow from investing activities	-175 340	-18 183	1 064	-	-	-	-	-	-174 277	-18 183

COUNTRY BY COUNTRY REPORT

The Company is subject to country by country reporting in accordance with the Norwegian Accounting Act §3-3d and the Norwegian Security Trading Act §5-5a. However the Company's payments are below minimum threshold for disclosure.

The Group had one permanent employee in the legal entity Rocksource Energy Corporation, registered in the USA. No subsidiary paid interest to legal entities in other jurisdictions.

NOTE 2 OTHER GENERAL AND ADMINISTRATIVE EXPENSES

Figures in NOK 1000	2014	2013
Payroll and other related expenses, see note 4	-74 095	-51 364
Other expenses, see specification below	-33 885	-21 864
Total	-107 980	-73 228
— Reclassified as exploration expenses ¹	94 428	61 975
Total other general and administrative expenses	-13 552	-11 253

(1) This amount represents the part of general and administrative expenses used to explore on the NCS

SPECIFICATION OF OTHER EXPENSES

Figures in NOK 1000	2014	2013
Professional services	-15 252	-9 854
Office expenses, office leases, IT development and similar	-15 753	-9 700
Travel	-1 925	-1 753
Other expenses	-955	-557
Total other expenses	-33 885	-21 864

AUDITOR FEES FOR THE GROUP

FEES PAID TO THE AUDITOR (EXCLUDING VAT):

Figures in NOK 1000	2014	2013
Audit fee	-846	-951
Other financial auditing	-	-30
Attesting services	-13	-110
Tax advisory services	-152	-22
Other advisory services	-90	-106
Total auditor fees	-1 102	-1 218

NOTE 3 EXPLORATION EXPENSES

Figures in NOK 1000	2014	2013
Exploration expenses related to licence participation	-48 048	-9 826
Exploration expenses, other external expenses (seismic, EM, etc)	-44 776	-60 614
Exploration expenses, external	-92 824	-70 440
Reclassified from general and administrative expenses	-94 428	-61 975
Exploration expenses, capitalised in previous year	-68	-89 170
Exploration expenses, expensed drilling cost	-95 016	-136
Total exploration expenses, income statement	-282 335	-221 720

In accordance with the successful effort method, previously capitalised exploration expenses are reclassified to exploration expenses in the income statement when the drilling results are negative, the discovery is not considered commercial or licences are relinquished.

In accordance with IFRS 6, the Group has performed an impairment test of the asset PL 528 (Ivory). Given assumptions applied in the impairment test, the Group has expensed NOK 83.6 million in the drilling cost. See note 8.

NOTE 4 EMPLOYEE EXPENSES

Figures in NOK 1000

	2014	2013
Salaries, bonuses and holiday pay	-60 298	-42 003
Social security costs	-6 809	-6 033
Pensions	-4 079	-2 194
Share-based remuneration	-	63
Other employee costs	-2 910	-1 197
Total	-74 095	-51 364
Average number of man years employed	29.6	34.8

See note 21 for remuneration to the key management.

Incentive scheme

NOK 16.4 million in payroll expenses relating to an employee incentive scheme and discovery bonus has been recorded in 2014 (2013: NOK 3.9 million).

Pensions

Rocksource has a defined contribution scheme for employees in Norway. Rocksource is obligated and meets the requirements for mandatory pension ("obligatorisk tjenestepensjon") in Norway. There are no pension obligations for the employees in the US subsidiaries.

PRESENTATION OF THE BOARD OF DIRECTORS' DECLARATION OF REMUNERATION POLICY FOR THE EXECUTIVE MANAGEMENT FOR THE COMING YEAR

In accordance with the Norwegian Public Limited Liability Companies Act section 6-16 cf. section 5-6 third paragraph, the General Meeting shall discuss the Board of Directors' declaration of remuneration policy for the executive management. The Board of Directors' declaration is as follows:

1) Remuneration policy for the executive management for 2015:

The Board of Directors in Rocksource is responsible for determining the remuneration of the Chief Executive Officer (CEO). The CEO is, together with the Board of Directors, responsible for the remuneration of the management team.

When defining the criteria used as the basis for determining the remuneration the underlying principle is that compensation should reflect the responsibility and duties resting with the team members, and that the employee is motivated to create long term value for the Rocksource Group (Group) and its shareholders. It is important that the Group offers a competitive overall remuneration package (salary, incentive scheme, pension, insurance, etc.) to attract the skills and competencies required to support the strategic development of the Group.

The CEO and the management team participate in the standard pension and insurance schemes applicable to all employees. The Group uses standard employment contracts together with standard terms and conditions regarding notice period and severance pay for the CEO and the management team. The Board of Directors has not defined an upper or lower limit for the salary of the management team except for the principles stated above.

In order to allow for alignment of employee and shareholder objectives, the Annual General Meeting on 28 May 2014 authorised the Board of Directors to introduce a share incentive scheme. The maximum numbers that may be awarded annually is equivalent to 2 per cent of outstanding shares. This authorisation to the Board of Directors is valid for two years as from the date of the General Meeting.

(2) The remuneration policy for the executive management in 2014 was in accordance with the policy that was taken into consideration by the Annual General Meeting in 2014.

(3) The consequences for the Company and the shareholders of the previously awarded share options are described in the Annual Report.

An advisory vote is called for on the Board of Directors' remuneration policy for the executive management in 2015, as described in paragraph (1) above. The Board of Directors therefore proposes that the General Meeting passes the following resolution:

The General Meeting gave its support to the Board of Directors' remuneration policy for the executive management in 2015.

NOTE 5 NET FINANCIAL INCOME/(EXPENSES)

Figures in NOK 1000

	2014	2013
Gain on sale of shares in associates	3 605	-
Interest income	1 940	4 066
Net currency gain	44 534	16 298
Other financial income	1 648	-
Total financial income	51 727	20 363
Interest expenses	-16 518	-10 381
Other financial expenses	-607	-829
Total financial expenses	-17 125	-11 210
Net financial income/(expenses) through profit and loss	34 602	9 153

Net currency gain consists of NOK 63.1 million in currency gain and NOK 18.6 million in currency loss.

NOTE 6 INCOME TAX

Figures in NOK 1000

2014

2013

TAX EXPENSES/(INCOME) RECOGNISED IN THE INCOME STATEMENT

Current taxes, refund exploration expenses NCS	-345 859	-90 994
Current taxes, refund previous years NCS	-2 814	329
Deferred tax, offshore, correction of previous years	751	-11
Deferred tax, offshore NCS	131 585	-59 845
Total tax expenses/(income) recognised in the income statement	-216 337	-150 521

RECONCILIATION OF TAX EXPENSES/(INCOME)

Profit/(loss) before taxes (continued operations)	-246 564	-176 396
Hereof taxable income in foreign countries	-7 165	-2 700
Company result for Norwegian companies	-239 399	-173 696
Basis for company tax	-239 399	-173 696
Basis for special tax	-291 794	-204 278
Tax according to ordinary rate [27%/28%]	-64 638	-48 635
Tax according to special tax rate [51%/50%]	-148 815	-102 139
Tax effect of permanent differences	2 780	-10 635
Change in previous years	-2 063	318
Change in deferred tax assets, not recognised in the financial statements	-3 602	10 569
Tax expenses/(income) for the period	-216 337	-150 521

TAX EFFECT OF TEMPORARY DIFFERENCES IN NORWAY

Property, plant and equipment	-190 007	-12 774
Other current liabilities	-2 667	-986
Tax loss carried forward, NCS	38 698	17 548
Tax loss carried forward, onshore	52 889	38 537
Basis for deferred tax/deferred tax assets	-101 087	42 324
Deferred tax assets not recognised in the financial statements [27%]	14 692	11 090
Deferred tax recognised in the financial statements [27%/78%]	-138 499	-6 162

RECONCILIATION OF DEFERRED ASSETS/LIABILITIES

Opening balance as of 1 January	-6 162	-66 019
Deferred tax through income statements	-132 336	59 856
Closing balance as of 31 December	-138 499	-6 162

DEFERRED TAX LIABILITIES RECOGNISED IN THE FINANCIAL STATEMENTS

As of year-end 2014, deferred tax liabilities of NOK 138.5 million (2013 NOK 6.1 million) is recorded. The amount for 2014 consists of deferred tax liabilities related to the Pil and Bue discovery on the NCS.

If the Group closes down the activity on the NCS, any unused tax loss of NOK 10.4 million carried forward related to the NCS will be refunded in cash to the Group. There is no

time limit on the right to carry forward tax losses in Norway. The Group has not recognised deferred tax assets related to Rocksource Geotech AS or net operating losses in the subsidiaries in the UK or in the US. This is based upon an assessment that the companies will not generate taxable profits to utilise the deferred tax assets within a short term scenario.

TAX REFUND ON THE NORWEGIAN CONTINENTAL SHELF

Companies operating on the Norwegian Continental Shelf (NCS) are subject to a 51 per cent oil taxation in addition to the ordinary 27 per cent corporate tax. Companies that are not in a taxable position can claim a 78 per cent refund on exploration costs on the NCS. This refund is normally payable in December the following year. Tax income for 2014 amounted to NOK 345.9 million (2013 NOK 91.0 million). In December 2014, the Group received ordinary exploration tax refund totalling NOK 93.8 million, including interests. The refund was paid out according to the Company's tax return. The ordinary exploration tax refund is pledged as security under the exploration credit facility with SEB Merchant Bank. See note 18.

TAX LOSSES CARRIED FORWARD IN THE US

The subsidiaries in the US have as of 31 December 2014 an accumulated tax loss carried forward of NOK 441.7 million (2013 NOK 345.2 million), based on the exchange rate at year-end. With a tax rate of 35 per cent, this represents a non-recognised deferred tax asset of NOK 154.6 million (2013 NOK 120.8 million). The assessment is based on that the companies will not generate taxable profits to utilise the deferred tax assets within a short term scenario. The 2014 figures are based on estimates as the tax return for 2014 has not yet been submitted. Tax losses in the US can be carried forward up to 20 years, if not utilised the first tax balances will expire in 2027.

TAX LOSSES CARRIED FORWARD IN THE UK

The subsidiary in the UK has at 31 December 2014 an accumulated tax loss carried forward of NOK 70.4 million (2013 NOK 61.8 million), based on the exchange rate at year-end. With a tax rate of 21 per cent, this represents a non-recognised deferred tax asset of NOK 14.8 million (2013 NOK 14.8 million) relating to depreciation in excess of capital allowances and other pre-trading expenditure has not been recognised. No deferred tax asset has been recognised on the pre-trading expenditure. The company has returned its licenses, and no taxable profit will mature in the future.

NORWEGIAN OIL TAXATION

In 2014, Rocksource received a draft letter from the Norwegian Oil Taxation Office ("OTO") to the Oil Taxation Complaints Board ("OTCB"). The letter sets out the OTO's view of the case relating to the Company's appeal of the Oil Taxation Board's ("OTB") 2012 ruling for the income years 2007-2009. Following the 2012 amended assessment, Rocksource repaid NOK 48 million of its tax refund plus interest related to the transfer pricing of the services provided from Rocksource Geotech AS to Rocksource ASA. In the draft letter, OTO proposed to reduce further the deductions with a potential impact for the 2007-2009 period of NOK 11 million plus interest. Rocksource withdrew its complaint to the OTCB in December 2014, hence the case is assessed as closed.

In 2014, Rocksource received a letter from the OTO notifying the Company that it is considering amending the tax return and applying a penalty tax for the income year 2013 for Rocksource Exploration Norway AS. In the letter, OTO is challenging the sales price allocation related to transactions entered into between two subsidiaries of Rocksource and a Norwegian branch of a European oil and gas company with a total contract value of NOK 20 million. The Company disagrees with the OTO's position and has not made a provision in the accounts as of year end 2014 according to IAS 37.

NOTE 7 TANGIBLE ASSETS

Figures in NOK 1000

Furniture, fixtures and office machines

1 JANUARY 2014

Cost	12 228
Accumulated depreciation and amortisation	-9 314
Net book amount	2 914

PERIOD ENDED 31 DECEMBER 2014

Opening net book amount	2 914
Additions	49
Depreciation and amortisation charge	-1 710
Closing net book amount	1 252

31 DECEMBER 2014

Cost	12 277
Accumulated depreciation and amortisation	-11 024
Net book amount	1 252

1 JANUARY 2013

Cost	17 416
Accumulated depreciation and amortisation	-14 645
Net book amount	2 771

PERIOD ENDED 31 DECEMBER 2013

Opening net book amount	2 771
Exchange differences	1
Additions	2 029
Depreciation and amortisation charge	-1 887
Closing net book amount	2 914

31 DECEMBER 2013

Cost	12 228
Accumulated depreciation and amortisation	-9 314
Net book amount	2 914

Depreciation plan

Linear 3-5 years

NOTE 8 INTANGIBLE ASSETS

Figures in NOK 1000

	Goodwill	Exploration / acquisition costs	Total
2014			
Opening net book amount 1 January	-	46 464	46 464
Exchange differences	-	6 306	6 306
Classified as held for sale (see note 23)	-	-17 765	-17 765
Adjusting event (see note 23)	-	-18 850	-18 850
Additions	-	175 291	175 291
Expensed exploration/acquisition costs	-	-68	-68
Closing net book amount 31 December	-	191 378	191 378
2013			
Opening net book amount 1 January	10 000	116 710	126 710
Exchange differences	-	2 769	2 769
Additions	-	16 155	16 155
Expensed exploration/acquisition costs	-	-89 170	-89 170
Impairment charge	-10 000	-	-10 000
Closing net book amount 31 December	-	46 464	46 464

CAPITALISED EXPLORATION/ACQUISITION COSTS – IMPAIRMENT TESTING

The booked capitalised amount represents expenses related to the commercial success Rocksource had within the PL 586 licence (Pil and Bue) in the Norwegian Sea. Pil and Bue together rank as one of the most significant finds on the Norwegian Continental Shelf in recent years with combined reserves currently estimated at between 95 and 175 million barrels of oil equivalent ("mmboe"). Preparations have started for the drilling campaign in 2015 in the same license. As of year end 2014, NOK 191.4 million has been capitalized in

the balance sheet related to PL 586. No indication of impairment has been identified related to this asset.

In accordance with IFRS 6, the Group has performed an impairment test of the asset PL 528 (Ivory). Given assumptions that the carrying amount of the exploration asset is unlikely to be recovered in full from successful development or by sale, the Group has expensed the temporary capitalized drilling cost amounting to nok 83.6 million.

Depreciation based on the UoP method commence on first oil.

NOTE 9 ACCOUNTS RECEIVABLE AND OTHER RECEIVABLES

Figures in NOK 1000

	2014	2013
Accounts receivable	-	26 687
Other receivables	14 420	11 218
Total	14 420	37 905

Accounts receivable in the financial statements of 2013 are related to the sale of software and licenses of NOK 20 million. The remaining receivables are related to assets transactions and cost sharing regarding applications to licensing rounds.

Other receivables mainly consist of invoices to licence partnerships where Rocksource Exploration Norway AS is an operator for expenses paid on behalf of the licences. It also consists of prepayments and VAT receivables. Other receivables are assumed to be collectible, are not past due, and the Group has no historic losses.

Figures in NOK 1000

	2014	2013
Not past due	-	20 145
Past due < 30 days	-	241
Past due < 60 days	-	5 753
Past due < 90 days	-	547
Total	-	26 687

NOTE 10 CASH AND CASH EQUIVALENTS

Figures in NOK 1000

	2014	2013
Bank deposit, non-restricted	62 201	122 285
Bank deposit, restricted	32 823	4 903
Total	95 024	127 188

A restricted bank deposit of NOK 25.3 million in SEB Merchant Banking is related to the Exploration Credit Facility for 2014, including NOK 12.9 relating to a potential reduction in tax refund from The Norwegian Oil Taxation Office for the income years 2007-2009. See note 24 subsequent events for update on the restricted cash. Other restricted cash deposits relate to a guarantee of a letter of credit related to operatorship status in the Gulf of Mexico, employees' tax deduction and deposits related to the office premises.

Bank deposits are subject to a floating interest, and the depository interest rate will therefore fluctuate during the year. The cash equivalents are equal to their nominal value.

Cash and cash equivalents are mainly denominated in NOK, 93 per cent (2013 98 per cent). The remaining is in GBP and USD.

	2014		2013	
Figures in NOK 1000	Amount in currency	Amount in NOK	Amount in currency	Amount in NOK
USD	936	6 955	399	2 429
GBP	10	118	18	160
NOK	-	87 951	-	124 599
Total		95 024		127 188

NOTE 11 ISSUED CAPITAL

	2014		2013	
	No. of shares in thousands	NOK '000	No. of shares in thousands	NOK '000
Issued on 1 January	87 056	8 706	87 056	8 706
Issued on 7 July 2014 in 1.000	11 316	1 132	-	-
Total number of shares	98 372	9 837	87 056	8 706

As of 31 December 2014 Rocksource ASA (the parent company) had 98 371 500 shares with a nominal value of NOK 0.10. The Company's share capital was increased from 8 705 550 to 9 837 150 on 7 July 2014, by issuing 11 316 000 new shares at a nominal value of NOK 0.10 per share. There is one class of shares and all shares are fully paid in. Each share represents one vote at the Company's General Meeting. Please see note 24 regarding rights issue in 2015.

DIVIDENDS

At year-end 2014, no dividend was proposed for any of the group companies for the year 2014.

EQUITY RAISE

At the Annual General Meeting of 28 May 2014 it was resolved to increase the share capital by issuing up to 11 316 000 shares through private placements. The nominal value of the shares was set to NOK 0.10 per share. The shares were issued on 7 July 2014.

AUTHORISATION OF THE BOARD OF DIRECTORS

The Board of Directors in the Annual General Meeting on 28 May 2014 authorised to resolve one or several share capital increases up to 2 per cent of outstanding shares per annum (NOK 393 486). This authorisation can only be used to issue shares to employees of the Company in connection with the incentive scheme and is valid for two years as from the date of this General Meeting. This authorisation was not used during 2014. For further information about incentive schemes see note 21 - Remunerations, and note 1 - Remuneration and salaries in the financial statements for the parent company.

TREASURY SHARES

The parent company has 5 489 (as adjusted) treasury shares with a nominal value of NOK 549. The purchase cost for the treasury shares was NOK 117 000. There has been no sale of treasury shares in 2014.

NOTE 12 EARNINGS PER SHARE

BASIC EARNINGS PER SHARE

Basic earnings per share at 31 December 2014 are based on the net result for the year attributable to ordinary equity holders of the parent company amounting to a loss of NOK

60.3 million (2013 loss of NOK 39.3 million) and the dilution adjusted weighted average number of outstanding ordinary shares through 2014 of 98 366 011 (2013 87 050 011).

2014

No. of shares in thousands	Ordinary	Weighted
Issued as of 1 January	87 055	87 055
Effect of shares issued on 7 July 2014	11 316	5 487
Effect of treasury shares	-5	-5
Total number of shares	98 366	92 537
Net profit/(loss) attributable to ordinary equity holders of the Parent	-60 322	-60 322
Basic and diluted earnings per share	-0.613	-0.652

2013

No. of shares in thousands	Ordinary	Weighted
Issued as of 1 January	87 055	87 055
Effect of treasury shares	-5	-5
Total number of shares	87 050	87 050
Net profit/(loss) attributable to ordinary equity holders of the Parent	-39 296	-39 296
Basic and diluted earnings per share	-0.451	-0.451

Weighted earnings per share were a loss of NOK 0.652 in 2014 (loss of NOK 0.451 in 2013).

NOTE 13 GROUP COMPANIES

SUBSIDIARY DETAILS

Figures in NOK 1000	Classification	Head office	Ownership	Voting rights	Profit/(loss)	Equity
Rocksource Exploration Norway AS	Subsidiary	Bergen, Norway	100 %	100 %	-75 457	-109 638
Rocksource Geotech AS	Subsidiary	Bergen, Norway	100 %	100 %	-254	36 065
Rocksource Gulf of Mexico AS	Subsidiary	Bergen, Norway	100 %	100 %	-1 661	-898
Rocksource UK Ltd	Subsidiary	London, UK	100 %	100 %	3 622	-65 757
Rocksource Energy Corporation	Subsidiary	Houston, USA	100 %	100 %	212	1 096
Rocksource Gulf of Mexico Corporation	Subsidiary ¹	Houston, USA	100 %	100 %	-28 646	-218 404
Geotech US Corporation	Subsidiary ²	Delaware, USA	100 %	100 %	-32 728	3 697

(1) Rocksource Gulf of Mexico Corporation is indirectly owned through Rocksource Gulf of Mexico AS

(2) Geotech US Corporation is indirectly owned through Rocksource Geotech AS

NOTE 14 INVESTMENT IN ASSOCIATES

All shares in TechnoImaging LLC (TI) were sold to an external party in Q4 2014 which resulted in an income of NOK 3.6 million. Rocksource Group does not have any shares in associates as of year end 2014.

NOTE 15 CURRENT LIABILITIES

Figures in NOK 1000	2014	2013
Accounts payable and other payables	107 039	45 811
Other current liabilities	414	1 187
Total	107 452	46 998

Accounts payable are mainly non-interest bearing and are normally settled in 30–60 days.

Accounts payable in 2014 includes NOK 37.5 million relating to purchase of seismic data in 2014 with payment date in December 2015 and NOK 16.4 million relating to incentive scheme and discovery bonus for the 2014 calendar year, payable in 2015.

NOTE 16 COMMITMENTS

OPERATING LEASE COMMITMENTS

The Group has operating leases for office premises with lease periods of 1–4 years with options for renewal. The lease is index-regulated annually. In 2014, NOK 4.8 million was recorded as operating lease expenses in the income state-

ment. The operating lease contracts consist mainly of fixed payments.

Future minimum rentals payable under non-cancellable operating leases as of 31 December are as follows:

Figures in NOK 1000	2014	2013
Within one year	3 112	4 952
After one year, but less than five years	4 446	18 505
More than five years	-	-
Total	7 558	23 457

The Group has the following lease commitments as of year-end, mostly through ownership interests in its own and partner-operated oil and gas licences:

Figures in NOK 1000	2014	2013
Within one year	243 744	291 620
After one year, but less than five years	-	-
More than five years	-	-
Total expected licence commitments (pre tax)	243 744	291 620

There is a high degree of uncertainty related to the commitments, and these are indicative numbers. There are no firm licence commitments after 2015.

NOTE 17 CONTINGENT COMMITMENTS, AGREEMENTS AND CONTINGENCIES

BLOCK CY-DWN-2001/1 OFFSHORE INDIA

The Company on 25 December 2013 received a notice from Oil and Natural Gas Corporation of India (“ONGC”) invoking arbitration in India in relation to a dispute over historical costs in the CY-DWN-2001/1 Production Sharing Contract (“PSC”) offshore India. The arbitral tribunal has been constituted and the first hearing before the arbitral tribunal was held on September 12th 2014. In this first hearing the timelines for the initial steps of the arbitration process were defined.

On 7 January 2015 ONGC filed its statement of claims to the arbitral tribunal claiming an amount of approximately USD 20 million together with interests from Rocksource. Thereafter, on 16 February 2015, Rocksource sent a “section 16 application” to the tribunal to dismiss the case due to lack of jurisdiction, as ONGC has initiated the arbitration proceedings pursuant to the PSC, an agreement Rocksource has never signed. Finally, a second hearing was held 11 April 2015. There was no substantive hearing on Rocksource Section 16 Application or ONGC’s statement of claims. However, ONGC was granted until 5 May 2015 to file a reply to the application. Rocksource is awaiting a ruling from the arbitral tribunal on this question and will deliver its statement of defence within due course if the case should not be dismissed. The Company’s view remains that it is not liable for any costs on the block and has not recorded any provision in the financial statements.

In 2008, Rocksource executed a memorandum of understanding (“MoU”) with ONGC, and later that year signed an agreement to farm into the CY-DWN-2001/1 PSC. The farm in carried with it a contingent licence commitment for the first phase of the PSC consisting of a three well work programme. The process for assignment of Rocksource’s Participating Interest did not complete within the time allowed for in the agreement, and Rocksource has not signed the PSC or Joint Operating Agreement, and therefore never formally became a partner to the block. ONGC relinquished the PSC in 2011. Furthermore, Rocksource’s position remains that ONGC breached the intent of the MoU and breached terms of its

agreement with Rocksource on multiple occasions. These are some of the key reasons that contribute to Rocksource’s view that it is not liable for any costs on the block.

The cost claimed by ONGC for Rocksource’s share of the completed work programme is approximately USD 20 million (ca NOK 150 million). According to invoices sent by ONGC, approximately USD 15 million (ca NOK 112.5 million) of this amount became due in February 2010. Rocksource has received advice from two India-based legal firms, that the prescription period for such claims under Indian contract law is three years. It therefore remains the Company’s position that, in addition to its legal arguments relating to failure to complete assignment in time and breach of terms, USD 15 million of the 20 million claimed by ONGC is now prescribed.

It is the Company’s understanding that it is likely to take at least three years before arbitration would be completed and any eventual ruling could be enforceable against Rocksource in Norway.

CONTINGENT LICENCE COMMITMENTS

As a partner in offshore licences on the Norwegian and UK continental shelves, Rocksource has contingent commitments related to its equity share in each licence, if the majority in the partnership decides to progress beyond the firm licence budget included in note 16 – Commitments.

LIABILITY FOR DAMAGES/INSURANCE

The Group’s operations involve risks for damages, including pollution. Installations and operations are covered by an operations insurance policy.

LICENCES ABROAD

In some of the licenses the Group is a part of, there are agreements with royalties liabilities from first production. Terms and conditions in these agreements are in line with common practice in the oil and gas business.

NOTE 18 INTEREST-BEARING LOANS

EXPLORATION CREDIT FACILITY NOK 475 MILLION

Rocksource signed a NOK 300 million exploration credit facility with SEB Merchant Banking in January 2014 and an amendment agreement in July 2014 increasing the facility to NOK 475 million. Conditions agreed upon are an interest rate of 3 month NIBOR + 220 basis points and a commitment fee of the undrawn amount. Opening balance 2014 was NOK 99.0 million, which was ultimately repaid in December 2014 when the tax refund including interest from the Oil Taxation Office of NOK 95.2 million was received. Accumulated draw down in 2014 was NOK 321.3 million. No further draw downs can be made on the NOK 475 million facility. Estimated fair value of the credit loan as of year-end 2014 was NOK 330.7 million and is booked as current liabilities in the financial statements. Due to the fact that the tax return is pledged, which provide minimal credit risk for SEB, and that the underlying interest in the market has not changed significantly, we assume that fair value is approximately equal to

book value. The difference between fair value and accumulated draw down is due to the amortisation effect. The facility includes an ownership covenant stating that if a shareholder gains control of more than one third of the shares in Rocksource, all outstanding amounts are due within 90 days. In relation to EPSI AS in December 2014 passing the 1/3 covenant of the outstanding shares in the Company, Rocksource has received a waiver from SEB relating to the 1/3 ownership covenant. Rocksource is according to the facility restricted in issuing guarantees and indemnities.

Rocksource has in 2015 signed a new NOK 700 million exploration credit facility with SEB Merchant Banking with two year availability period and final repayment in December 2017 at improved commercial terms. The facility is available for bridge financing of 95 per cent of the NCS tax refund based on eligible exploration expenses incurred in 2015 and 2016. See note 19 for more information.

NOTE 19 FINANCIAL INSTRUMENTS AND RISK MANAGEMENT

The Group's activities expose the Group to the following financial risks as defined by IFRS 7:

- **Liquidity risk**
- **Credit risk**
- **Market risk** – including currency risk, interest rate risk and price risk

In order to reduce and control these risks, management periodically examines and evaluates the Group's most important financial market risks. The Group is primarily exposed to risk in connection with liquidity. Also, the Group is exposed to risk in connection with fluctuations in exchange rates and interest rates. Following the disposal of the Group's producing assets, Rocksource is to a lesser extent affected by short term fluctuations in oil and gas prices. The Group is currently assessed to have moderate exposure to financial market risks.

LIQUIDITY RISK

Liquidity risk management implies maintaining sufficient cash, the availability of funding through an adequate amount of committed credit facilities, equity raise and the ability to close out market positions. Due to the dynamic and volatile nature of the underlying business, the Group aims to maintain flexibility in funding by having committed credit facilities available.

At year-end 2014 a NOK 700 million exploration credit facility was under negotiation with SEB to provide bridge financing of NCS exploration cost until tax refund is received in December 2015. The final agreement was signed in 2015 based on a successful share capital raise of NOK 210 million completed in February 2015.

31 DECEMBER 2014

Figures in NOK 1000	Carrying amount	Contractual cash flows	1-6 months	6-12 months	1-2 years	3-5 years	> 5 years
NCS credit facility	330 666	-332 801	-5 644	-327 157	-	-	-
Other current liabilities	414	-414	-414	-	-	-	-
Accounts payable and other payables	107 039	-107 039	-107 039	-	-	-	-
Total	438 118	-440 253	-113 096	-327 157	-	-	-

31 DECEMBER 2013

Figures in NOK 1000	Carrying amount	Contractual cash flows	1-6 months	6-12 months	1-2 years	3-5 years	> 5 years
NCS credit facility	98 014	-102 767	-1 883	-100 883	-	-	-
Other current liabilities	1 187	-1 187	-1 187	-	-	-	-
Accounts payable and other payables	45 811	-45 811	-45 811	-	-	-	-
Total	145 012	-149 765	-48 881	-100 883	-	-	-

CREDIT RISK

The Group credit risk arises from credit exposures with customer accounts receivable, other receivables and deposits with financial institutions. The Group has policies in place to ensure that sales are only made to customers with an appropriate credit history and by limiting the outstanding credit given to licence partners and customers to fourteen days. The credit risk going into 2015 is considered to be low to moderate. Any provision for bad debt is not considered necessary for 2014. This is unchanged from 2013 as there have been no realised losses in accounts receivable in the last two years. See note 9 - Accounts receivable and other receivables for an ageing analysis. The deposits are with major banks, the tax receivable is with the Norwegian government and the credit risk linked to these institutions is limited. The Group's overall credit risk is considered to be minor. The maximum risk exposure is represented by the carrying amount of the financial assets in the statement of financial position, and amounts to NOK 492.7 million.

MARKET RISK

The Group is exposed to market risks including foreign currency rates, interest and equity prices that can affect the Group's revenue and costs of operating, investing and financing. The Group has no derivative contracts as of year end 2014.

CURRENCY RISK

The Group is exposed to some currency risk through its US subsidiaries, but this exposure is considered to be low since the companies have a moderate activity level and limited commitments. Further, the Group has some investments in overseas subsidiaries where net assets are exposed to currency risk. Several of the Group's agreements related to the NCS portfolio are exposed to changes in foreign currency, primarily drilling and seismic cost in USD. The Group has made no agreements to reduce the exposure to currency risk. The effect of any realised or unrealised currency changes are booked through the income statement. The Group's cash and cash equivalents are mainly in NOK (93 per cent), and the remaining is in USD and GBP.

The following table demonstrates the sensitivity of the financial instruments, to a reasonable, possible change in the USD and GBP exchange rate, with all other variables held constant, of the Group's result before tax.

Based on recent fluctuations of the NOK against USD, the analysis is performed with an assumption of a 10 per cent increase/(decrease) in the currency for 2014.

2014	Increase/ decrease in USD rate	Effect on earnings (NOK '000)
USD	+ 10 %	-2 233
USD	- 10 %	2 233

INTEREST RATE RISK

The Group is exposed to interest rate risk related to the NCS exploration credit facility, with floating interest rate. The credit facility of NOK 475 million carries a 3 months NIBOR + 220 basis points interest pro annum. See note 18 for more information. Based on draw downs under the exploration credit facility, interest rate changes will influence the Group's future results. The Group continuously assesses the change in risk and the earnings profile of the current assets.

The following table demonstrates the sensitivity to a reasonable possible change in interest rates, all other variables held constant, of the Group's result before tax.

The analysis is performed with an assumption of an increase/(decrease) of 100 basis points for 2014.

2014	Increase in basis points	Effect on profit (NOK '000)	Decrease in basis points	Effect on profit (NOK '000)
Cash and cash equivalents	+ 100	694	- 100	-694
NCS credit facility	+ 100	2 414	- 100	-2 414

POLITICAL RISK

Changes in the legislative and fiscal framework governing the activities of the companies engaged within the oil and gas sector may have a material impact on exploration and development activity or directly affect the Company's operations. In particular, changes in political regimes will constitute a material risk factor for the Company's operations. Currently, the exposure is limited to Norway, US, and India (see note 17). The Group's main strategy is to focus on the NCS portfolio and less on international business development opportunities. In order to conduct its operations in compliance with applicable laws and regulations, the Group will obtain licences and permits from various government authorities. The Group may incur substantial costs in order to maintain compliance with these existing laws and regulations and additional costs if these laws are revised or if new laws affecting the Group's operations are passed. Furthermore, there can be no assurance that the Group will be able to obtain all necessary licences and permits that may be required to carry out exploration, development and production operations on its properties.

CAPITAL MANAGEMENT

The Group is continuously evaluating the capital structure with the aim of having an optimal mix of equity and debt capital to reduce the Group's cost of capital. The credit loan facility related to exploration on the Norwegian Continental Shelf (NCS) represent the Group's loan financing. The primary objective of the Group's capital management is to continuously evaluate measures to strengthen its financial basis and to ensure that the Group are fully funded for its committed 2015 activities. The Group manages its capital structure and makes adjustments to it in light of changes in economic conditions. In order to maintain or change the capital structure, the Group may on long term adjust the amount of dividend payments to shareholders, return capital to shareholders or in the short-term issue new shares. Due to existing covenants in loan agreements, Rocksource ASA cannot pay dividend or purchase own shares. After the commercial discovery in the licence PL 586 with the Pil and Bue prospect in 2014, the Group committed to a drill program for 2015 of two new wells in this licence. To be able to meet the commitments regarding the Group's drilling programme and have a fully funded business plan for 2015, the Company needed to further improve its financial base as of year end 2014. In 2015, Rocksource strengthened its balance sheet when an equity raise of NOK 210 million were successfully completed in February, and the Company signed a new NOK 700 million credit facility agreement with SEB Merchant Banking in April. The Company also decided to enter into a farm-down agreement with the licence PL 602 in February 2015. See note 16, 17, 18 and 24.

The book equity ratio is calculated as total equity divided by total assets as follows:

Figures in NOK 1000	2014	2013
Total equity	89 083	154 291
Total assets	665 699	305 465
Equity ratio	13.4 %	50.5 %
Interest-bearing debt and loans	330 666	98 014
Accounts and other payables	107 039	45 811
Other current liabilities	414	1 187
Less cash	-95 024	-127 188
Net debt	343 094	17 824
Majority's equity	89 083	154 291
Sum equity and net debt	432 177	172 115
Debt ratio	79.4 %	10.4 %

FINANCIAL ASSETS AND LIABILITIES

Set out below is a comparison by category for carrying amounts and fair value of all of the Group's financial instruments that are carried in the financial statement. The table below also provide their level in the fair value hierarchy. Date of valuation is 31 December 2014. The carrying amount

of cash and cash equivalents is approximately equal to fair value since these instruments have a short term to maturity. Similarly, the carrying amount of accounts receivables and accounts payables is approximately equal to fair value since they are entered into on "normal" terms and conditions.

			2014	2013	
Figures in NOK 1000	Fair value level	Carrying amount	Fair value	Carrying amount	Fair value
Financial assets:					
Cash and cash equivalents		95 024	95 024	127 188	127 188
Loans and other receivables at amortised cost		360 279	360 279	128 898	128 898
Total		455 304	455 304	256 086	256 086
Financial liabilities:					
Financial liabilities at amortised cost		107 452	107 452	46 998	46 998
NCS credit facility		330 666	330 666	98 014	98 014
Total		438 118	438 118	145 012	145 012

Estimated fair value of the credit facility as of year end 2014 was NOK 330.7 million. Due to the fact that the tax return is pledged, which provide minimal credit risk for SEB, and a new agreement for a 2015 credit facility has been signed, we assume that fair value is approximately equal to book value.

DIVIDENDS PAID OR PROPOSED

No dividend has been proposed for 2014 or paid out during the year. See "Capital management" for information on dividend limitations.

NOTE 20 RELATED PARTIES

IDENTIFICATION OF RELATED PARTIES

The related parties of the Group are comprised of subsidiaries, see note 13 – Group companies. Other related parties are defined by the Group's ability, directly or indirectly, to control the other party or exercise significant influence over the other party in the decision making process. Furthermore, parties under common control or common significant influence are defined as related parties. All transactions between the related parties are based on the principle of "arm's length" (estimated market value).

OTHER RELATED PARTIES

See note 14 for information regarding investment in associates.

SHARES IN ROCKSOURCE ASA OWNED BY BOARD MEMBERS AS OF 31 DECEMBER 2014

	Position	Number of shares '000	Number of options '000
Ole Wiborg	Chairman of the Board	-	-
Marianne E. Johnsen	Board member	-	-
Susan Graham	Board member	-	-
Nick Johnson	Board member	-	-
Robert Arnott	Board member	-	-
Tove Kate Larsen	Board member	1 130	-
Frode Sigurd Berg ¹	Board member	-	-

(1) Frode Sigurd Berg is representing EPSI AS which owned 33.3 per cent of the Rocksource shares at year end.

INTERCOMPANY INVOICING

All G&G and administrative employees are employed in Rocksource Exploration Norway AS and Rocksource Energy Corporation. Rocksource Geotech AS is the technology division. As all the expertise in the Group delivering intercompany services are employed in Rocksource Exploration Norway AS, Rocksource Geotech AS and Rocksource Energy Corporation, there is considerable intercompany invoicing in the Group based on time spent as well as the use of the

technology developed in Rocksource Geotech AS. The intercompany charges are based on intercompany agreements and all hourly rates and technology charges are based on the "arm's length" principle and reflect market values of services delivered. Rocksource ASA finances a considerable part of Rocksource Exploration Norway AS and the Gulf of Mexico operations through intercompany loans. All internal transactions are eliminated at Group level.

Figures in NOK 1000	to Rocksource Exploration Norway AS	to Rocksource Geotech AS	to Rocksource ASA	to Rocksource Gulf of Mexico Corporation
From Rocksource Geotech AS	7 623	-	-	-
From Rocksource Exploration Norway AS	-	459	1 625	1 834
From Rocksource Energy Corporation	-	-	-	2 238
Total intercompany	7 623	459	1 625	4 072

All transactions between the related parties are based on the "arm's length" principle (estimated market value). There are no loan agreements between the Group and the Board of

Directors/Management. There are no share-based remuneration, bonus or severance payments to the Board of Directors. Remuneration to key employees is described in note 21.

NOTE 21 REMUNERATIONS

Figures in NOK 1000	Position	Salary	Bonus ⁸	Employee benefits	Pension	Value options exercised	Options awarded in 2014	Expensed option costs
Key management compensation in 2014								
Terje Arnesen ¹	CEO	419	-	34	27	-	-	-
Chris Spencer ²	Former CEO	4 889	351	353	138	-	-	-
Hans Petter Klohs ³	CFO	-	-	-	-	-	-	-
Tommy Sundt ⁴	Former CFO	3 442	140	126	109	-	-	-
Rolf Monsen ⁵	Exploration Manager International	1 761	157	24	174	-	-	-
Annelin N. Haaland ⁶	VP Exploration NCS	1 817	204	33	181	-	-	-
Per Anders Muri ⁷	Former VP Communications	417	-	5	20	-	-	-
Morten Haukebø	VP HSSE&Q	1 702	236	23	166	-	-	-

The total amount set aside for pension for the above mentioned in 2014 was NOK 813 000.

The amounts represent total compensation for full year 2014.

- (1) For the period 1 November to 31 December. Mr. Arnesen is entitled to a company car
 (2) For the period 1 January to 1 November. Includes 12 months' severance pay. Employee benefits includes tuition fee
 (3) For the period 2 June to 31 December. Mr. Klohs is hired in through Carthea AS, the consultant fee was NOK 1.7 million in 2014
 (4) For the period 1 January to 31 August. Mr. Sundt was entitled to a company car. Includes 12 months' severance pay
 (5) Mr. Monsen controls 86,000 shares as of 31 December 2014
 (6) Mrs. Haaland controls 11,351 shares as of 31 December 2014
 (7) For the period 1 January to 20 February 2014
 (8) Bonus related to 2013, received in 2014

Figures in NOK 1000	Position	Salary	Bonus ⁶	Employee benefits	Pension	Value options exercised	Options awarded in 2013	Expensed option costs
Key management compensation in 2013								
Chris Spencer ¹	CEO	2 407	575	286	116	-	-	-
Tommy Sundt ²	CFO	1 896	443	236	94	-	-	-
Per Anders Muri ³	VP Corporate Communication	1 658	397	32	87	-	-	-
Morten Haukebø	VP HSSE&Q	1 590	300	29	86	-	-	-
Rolf Monsen ⁴	CTO	1 596	314	30	86	-	-	-
Annelin N. Haaland ⁵	Exploration Manager NCS	1 600	310	29	86	-	-	-

The amounts represent total compensation for full year 2013.

- (1) Mr. Spencer controls 75,000 shares as of 31 December 2013
 (2) Mr. Sundt is entitled to a company car. Through Tomsun Invest AS Mr. Sundt controls 271,297 shares as of 31 December 2013
 (3) Mr. Muri controls 8,750 shares as of 31 December 2013
 (4) Mr. Monsen controls 75,000 shares as of 31 December 2013
 (5) Mrs. Haaland controls 9,750 shares as of 31 December 2013
 (6) Bonus related to 2012, received in 2013

TERMINATION PAYMENTS

The CEO is entitled to severance pay if the employment is terminated or structural changes are implemented that changes job description and responsibilities. The severance pay should correspond to 12 month's base salary.

PENSION BENEFITS

Key management is covered by the same defined contribution plan as the rest of the employees in Norway, see note 4. Pension cost to key management is included in the tables above under Pension.

SHARE-BASED REMUNERATION TO KEY MANAGEMENT

There are no outstanding options held by the management team as of 31 December 2014.

SIGN-ON OPTIONS

There are no outstanding options held by employees as of 31 December 2014.

BONUS OPTIONS

The Group has a bonus incentive scheme for all employees. Bonus is awarded based on certain performance criteria and can be paid in options or in cash, at the discretion of the Board. No bonus options have been awarded in 2013 or 2014 and there are no outstanding bonus options as of 31 December 2014.

SUMMARY OF ALL OPTION PROGRAMS

	Average strike price in NOK per share	Number of options in '000	Weighted average maturity period in years
1 January 2014	12.00	44	0.15
Awarded	-	-	
Forfeited	12.00	-13	
Exercised	-	-	
Expired	12.00	-31	
31 December 2014	-	-	-
1 January 2013	19.35	1 133	0.97
Awarded	-	-	
Forfeited	-	-	
Exercised	-	-	
Expired	-19.67	-1 090	
31 December 2013	12.00	44	0.15

The fair value of the services received for the granted options is measured with reference to the fair value of the granted share options. The estimated fair value of the services received is measured on the basis of the Black-Scholes model. Significant input in the model includes the share price at the grant date, the exercise price, the forecasted volatility of 50 to 70 per cent, which is based on the volatility of the share on

the Oslo Stock Exchange and a risk free interest rate equal to the rate of interest on government bonds with the same maturity as the options upon award. Expensed, share-based compensation (excluding employer's social security contributions) for the Group is zero in 2014 (income of TNOK 63 in 2013). The income relates to reversal of option expenses not fully vested for employees that have left the Company.

REMUNERATION PAID TO THE BOARD OF DIRECTORS IN ROCKSOURCE ASA

Figures in NOK 1000	Role	2014	2013
Ole Wiborg	Chairman (from 28.5.13)	450	408
Henrik A. Christensen	Chairman (until 28.5.13)	-	113
Marianne E. Johnsen	Board member (from 26.5.10)	560	280
Helge Ringdal	Deputy Board member (until 28.5.14)	70	280
Eva von Hirsch	Board member (until 28.5.13)	-	70
Nick Johnson	Board member (from 14.6.12)	560	280
Susan Graham	Board member (from 14.6.12)	560	280
Robert Arnott	Board member (from 28.5.13)	560	210
Tove Kate Larsen	Board member (from 3.12.14)	-	-
Frode Sigurd Berg	Board member (from 3.12.14)	-	-
Total		2 760	1 921

The Annual General Meeting (AGM) has previously decided that remuneration to the Board of Directors should be determined for the coming year. Further the AGM has decided that the remuneration would be paid in quarterly installments. The table above reflects the actual payments in 2013/14 and will therefore not be identical to the remuneration agreed in the AGM. It was agreed that the annual remuneration 2014/2015 for the Chairman was TNOK 450 (2013 TNOK 450) and for the board members TNOK 280 (2013 TNOK 280). The remuneration includes an additional board fee of TNOK 280 for 2013/14 to each of the board members Sue Graham, Marianne Johnsen, Nick Johnson and Robert Arnott, as approved by the Annual General Meeting on 28 May 2014, due to extensive work load beyond normal projected duties during the

2013/14 board term. The Board has resolved that the Chairman gets an additional remuneration of TNOK 60 per month from October 2013 due to operational involvement in various strategic - and financial processes relating to the Group. This agreement was renegotiated 1 July 2014 where the chairman is to charge the Company based on hours worked. In addition, the Board has resolved that the Deputy member Helge Ringdal gets an additional remuneration of TUSD 10 per month as a consulting fee related to strategic processes in Rocksource Gulf of Mexico Corporation. This arrangement ended May 2014. The amounts related to additional remuneration are not included in the table above.

REMUNERATION PAID TO THE AUDIT COMMITTEE IN ROCKSOURCE ASA

Figures in NOK 1000	Role	2014	2013
Ole Wiborg	Chairman	75	75
Marianne E. Johnsen	Committee member	50	50
Total		125	125

The Annual General Meeting (AGM) resolved that the annual remuneration for the Chairman was TNOK 75 (2013 TNOK 75) and for the committee members TNOK 50 (2013 TNOK 50). The remuneration is to be paid in quarterly installments.

REMUNERATION PAID TO THE REMUNERATION COMMITTEE IN ROCKSOURCE ASA

Figures in NOK 1000	Role	2014	2013
Susan Graham	Chairman	25	19
Nick Johnsen	Committee member	20	15
Ole Wiborg	Committee member	20	15
Total		65	49

The Board resolved that the annual remuneration for the Chairman of the Committee was TNOK 25 (2013 TNOK 25) and for the committee members TNOK 20 (2013 TNOK 20). The remuneration is to be paid in quarterly installments.

REMUNERATION PAID TO THE NOMINATION COMMITTEE IN ROCKSOURCE ASA

Figures in NOK 1000	Role	2014	2013
Bjarte Fagerås	Chairman (until 3.12.14)	75	75
Keith Myers	Chairman (from 3.12.14), Committee member (from 13.5.11 until 3.12.14)	50	95
Thorhild Widvey	Committee member (until 28.5.14)	-	50
Brede Larsen	Committee member (from 28.5.14)	-	-
Pål Reiulf Olsen	Committee member (from 3.12.14)	-	-
Total		125	220

It was agreed that the annual remuneration for the Chairman of the Committee was TNOK 75 (2013 TNOK 75) and for the committee members TNOK 50 (2013 TNOK 50).

REMUNERATION PAID TO THE EXPLORATION COMMITTEE IN ROCKSOURCE EXPLORATION NORWAY AS

Figures in NOK 1000	Role	2014	2013
Nick Johnson	Chairman	210	-
Robert Arnott	Committee member	175	-
Total		385	-

In June 2013 the Board resolved to establish an Exploration Committee consisting of two board members. It was agreed that the annual remuneration for the Chairman of the Committee was TNOK 120 and for the committee member TNOK 100. The remuneration for the period 2013/2014 was paid

in 2014. It was agreed to pay the remuneration in quarterly installments in 2014. The table above reflects the actual payments in 2013/14 and will therefore not be identical to the remuneration agreed.

NOTE 22 OPERATING INCOME

Figures in NOK 1000	2014	2013
Sale of operating and processing services	16 432	59 282
Total	16 432	59 282

Revenue from sale to operated licenses were NOK 12.2 million in 2014. In addition Rocksource sold EM services of NOK 2 million, EM data of NOK 0.5 million and assets of NOK 1.5 million.

In 2013 the revenue from sale to licenses partners as an operator represents NOK 33.3 million. In addition, Rocksource had software and license sale agreement to one customer amounting to NOK 20 million, which is reflected in the Geo-Technical segment in note 1. The sale is considered to be a one-off sale.

NOTE 23 DISCONTINUED OPERATIONS

As a consequence of strategic evaluations regarding the ownership of the leases in the Gulf of Mexico including the Trident discovery, and the current level of marketing and ongoing discussions with potential buyers, financial results and assets related to Rocksource Gulf of Mexico are presented as held for sale according to IFRS.

As part over the Group's overall strategy to preserve cash, the Board of Directors has in 2015 resolved to relinquish five of the nine leases. The relinquishment will generate an annual reduction in lease cost of about TUSD 450 effective from 1 October 2015. The five leases are not perceived to have any commercial value and it is not expected that the relinquishment will have an effect on ongoing discussions with potential buyers relating to the remaining four leases, including the Trident discovery. The relinquishment of the five leases in 2015 is regarded as an adjusting event, and the financial accounts has been adjusted as of year end.

The oil price dropped significantly in 2014. This has not reduced the value of the exploration/acquisition costs of the remaining four leases in the Gulf of Mexico portfolio, which suggest that the recoverable amount exceed the carrying amount of these four assets. The assets have been impairment tested and the estimated fair value less cost to sell is higher than the carrying amount. The book value of the four leases in the Gulf of Mexico as of end 2014 was NOK 17.8 million.

The according result from discontinued operations is presented on a separate line "Net profit/(loss) from discontinued operations" in the income statement. Historical results from the operations are stated in the table below. Book value of the assets classified as held for sale are disclosed on a separate line in the statement of the financial positions.

NET PROFIT/(LOSS) FROM DISCONTINUED OPERATIONS

Figures in NOK 1000	2014	2013
Operating income	-	-
Payroll and other related expenses	-1 320	-1 714
Depreciation and amortization	-	-30
Adjusting event	-18 850	-
Exploration expenses	-6 941	-10 772
Professional services	-2 451	-208
Other operating expenses	-758	-699
Net financial income/(expenses)	225	1
Profit/(loss) before taxes	-30 095	-13 422
Income tax	-	-
Net profit from discontinued operations	-30 095	-13 422
Basic and diluted earnings per share from discontinued operations	(0.325)	(0.154)

NET CASH FLOWS FROM DISCONTINUED OPERATIONS

Figures in NOK 1000	2014	2013
Net cash flow from operating activities	-11 245	-13 422
Net cash flow from investing activities	-	-
Net cash flow from financing activities	-	-
Net change in cash and cash equivalents	-11 245	-13 422

NOTE 24 SUBSEQUENT EVENTS

APA 2014 AWARDS

In January 2015, Rocksource announced the award of two new licences in the APA 2014 Licensing Round. The Company was awarded operatorship and 50 per cent ownership in PL 791 located in the northern part of the North Sea. Phase one of the work programme consists of acquiring 3D seismic. Within three years, a drill or drop decision has to be made. The licence group consists of Rocksource and Tullow. Further south, Rocksource was awarded a 20 per cent ownership in PL 784 located in the central North Sea. Phase one of the work programme consists of acquiring 3D seismic. Within two years, a drill or drop decision has to be made. The licence group consists of Tullow (operator), Rocksource, Explora and Concedo. These awards contribute medium and longer term opportunities to the Rocksource exploration portfolio.

RELEASE OF RESTRICTED CASH

In December 2014, Rocksource decided to withdraw its complaint to the ruling announced May 2012 in the Norwegian Oil Taxation Board (OTB) regarding the income years 2007–2009, hence the ruling of the OTB is considered to be final. As a consequence, the draft letter described in note 3 is no longer considered to be relevant and SEB Merchant Banking has in February 2015 released the restricted deposit of NOK 12.9 million related to further potential deductions in tax refund for the income years 2007–2009.

MANDATORY OFFER

On 21 January 2015 the offer from EPSI AS to acquire all outstanding shares at NOK 6 per share expired resulting in a EPSI AS post offer ownership at approximately 81.7 per cent.

NEW BOARD OF DIRECTORS

In the Extraordinary General Meeting (“EGM”) in Rocksource ASA held 2 February 2015 the EGM elected a new Board of Directors consisting of Frode Sigurd Berg (chairman), Liv Marit Lundby and Robert Arnott.

NOK 210 MILLION RIGHTS ISSUE

A NOK 210 million rights issue was successfully concluded on 27 February 2015 with the issuance of 60,000,000 new shares with a subscription price of NOK 3.50 per share. The rights issue was fully underwritten by the largest shareholder EPSI AS.

NEW NOK 700 MILLION EXPLORATION CREDIT FACILITY

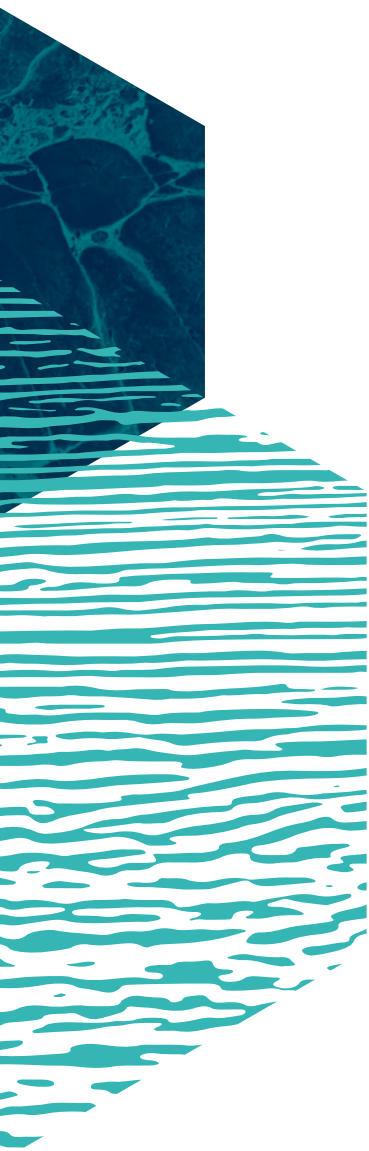
Rocksource has entered into a NOK 700 million exploration credit facility with SEB Merchant Bank. The purpose of the facility is to refinance the current facility and to provide 75 per cent funding of eligible cost related to the NCS portfolio in 2015 and 2016.

FARM-OUT IN PL 602

On 20 February 2015, Rocksource entered into a Sale and Purchase Agreement with Statoil Petroleum AS (“Statoil”) related to the PL 602 licence in the Norwegian Sea. PL 602 is located immediately to the west of the Statoil operated Aasta Hansteen field development, expected to come on stream in 2017. Through the SPA Statoil shall acquire Rocksource’s 10 per cent participating interest in the licence.

GULF OF MEXICO LEASES

As part over the Group’s overall strategy to preserve cash, the Board of Directors has in 2015 resolved to relinquish five of the nine leases. The relinquishment will generate an annual reduction in lease cost of about TUSD 450 effective from 1 October 2015. The five leases are not perceived to have any commercial value and it is not expected that the relinquishment will have an effect on ongoing discussions with potential buyers relating to the remaining four leases, including the Trident discovery.



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INCOME STATEMENTS

01.01–31.12

Figures in NOK 1000 / NGAAP	Notes	2014	2013
OPERATING INCOME			
Operating income	9	1 497	4 526
Other operating income	9	-	61
Total operating income		1 497	4 587
OPERATING EXPENSES			
Payroll, management fee and related costs	1	-2 204	-1 579
Other operating expenses	2	-9 048	-8 490
Total operating expenses		-11 252	-10 069
Total operating profit/(loss)		-9 755	-5 482
FINANCIAL INCOME/(EXPENSES)			
Interest income/(expense) from Group companies	4	-1 175	4 374
Group contribution		-	2 083
Other financial income	5 Group	2 773	4 117
Net currency income/(loss)		15 729	13 993
Impairment of financial assets	4, 8	-278	-3 881
Other financial expenses	5 Group	-566	-7 897
Net financial income/(expenses)		16 483	12 789
Profit/(loss) before taxes		6 728	7 307
Income tax	3	-	-1 575
Net profit/(loss)		6 728	5 732
Basic and diluted earnings per share (NOK)	12 Group	0.07	0.07

BALANCE SHEETS AS OF 31.12

Figures in NOK 1000 / NGAAP

Notes

2014

2013

ASSETS

NON-CURRENT ASSETS

Financial assets

Investments in subsidiaries	8	43 356	43 494
Investments in shares and funds		11	11
Loan to subsidiaries	4	255 452	114 162
Total financial assets		298 819	157 666

Total non-current assets

298 819 157 666

CURRENT ASSETS

Accounts receivable	9 Group	-	14
Other receivables		85	100
Cash and cash equivalents	5	3 148	75 930

Total current assets

3 234 76 044

TOTAL ASSETS

302 053 233 711

Figures in NOK 1000 / NGAAP

Notes

2014

2013

EQUITY AND LIABILITIES

EQUITY

Share capital		9 837	8 706
Treasury shares		-22	-22
Additional paid-in capital		251 857	206 630
Total equity	7	261 672	215 314

LIABILITIES

Non-current liabilities

Loan from subsidiaries	4	39 073	17 596
Total non-current liabilities		39 073	17 596

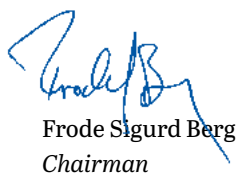
Current liabilities

Accounts payable		215	461
Other current liabilities		1 092	340
Total current liabilities		1 307	801

Total liabilities		40 380	18 397
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TOTAL EQUITY AND LIABILITIES		302 053	233 711
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Bergen, 23 April 2015



Frode Sigurd Berg
Chairman



Liv Marit Lundby
Board Member



Robert John Arnott
Board Member



Terje Arnesen
Chief Executive Officer

CASH FLOW STATEMENTS

Figures in NOK 1000 / NGAAP

Notes

2014**2013****OPERATIONAL ACTIVITIES**

Profit/(loss) before tax		6 728	7 307
Tax refund NCS exploration expenses	3	-	238 259
Share-based remuneration	1	-	-63
Changes in accounts receivable		14	1 203
Changes in accounts payables and other payables		506	-10 121
Changes in other current balance sheet items		96	4 386
Net cash flow from operational activities		7 345	240 972

INVESTING ACTIVITIES

Net investments in assets		-	2 735
Other investments/cash flow from changes to the Group	4, 8	-119 814	-130 689
Net cash flow from investing activities		-119 814	-127 954

FINANCING ACTIVITIES

Repayment of short term debt	18 & 19 Group	-	-121 500
Net capital increase	7	39 631	-
Net cash flow from financing activities		39 631	-121 500

Effect of changes in exchange rates on cash and cash equivalents		56	23
Net change in cash and cash equivalents		-72 781	-8 458
Cash and cash equivalents 01.01	5	75 930	84 388
Cash and cash equivalents 31.12	5	3 148	75 930

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The financial statements for Rocksource ASA are prepared in accordance with the Norwegian Accounting Act and generally accepted accounting principles in Norway (NGAAP).

USE OF ESTIMATES

The preparation of the financial statements requires the management to make considerations and estimates with assumptions that influence the application of accounting principles and recognised amounts relating to assets, liabilities, income and expenses. Actual results may differ from the estimates.

Estimates and underlying assumptions are continuously evaluated.

FUNCTIONAL CURRENCY

The financial statements are presented in NOK, which is the functional and presentation currency of the Company.

REVENUE RECOGNITION

Received income from services is recorded in the financial statements according to the level of completion. At completion, the revenue recognition is in accordance with the Company's general revenue recognition principles.

CLASSIFICATION OF ITEMS IN THE BALANCE SHEET

Current assets and short term liabilities include items due within one year from draw-down and items related to the operating cycle. Other balance sheet items are classified as non-current assets/long term liabilities.

NON-CURRENT ASSETS AND LONG TERM LIABILITIES

Furniture, fixtures and office machines are valued at historical cost, less depreciation and impairment losses. Depreciation is calculated on a straight-line basis over estimated useful life, adjusted for residual value and impairment charges. Long term liabilities are recognised at nominal value.

CURRENT ASSETS AND SHORT TERM LIABILITIES

Current assets are valued at the lower of cost and fair value. Short term liabilities are recognised at nominal value.

SUBSIDIARIES AND INVESTMENTS IN ASSOCIATED COMPANIES

Subsidiaries and investments in associates are valued at cost in the company accounts. A write-down to fair value will be

performed if the impairment is not considered to be temporary, and an impairment charge is deemed necessary according to generally accepted accounting principles. Subsidiaries are entities where the Company has the power to govern the financial and operating policies generally accompanying a shareholding of more than 50 per cent of the voting rights. The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing whether the Company controls another entity. Associates are entities where the Company's influence is considered material, but does not by itself give full control over the companies' assets (normally when the Company owns 20–50 per cent of the company). A specification of subsidiaries is included as a separate note.

FOREIGN CURRENCY

Transactions in foreign currency are translated at the rate applicable on the transaction date. Monetary items in a foreign currency are translated into Norwegian Kroner using the exchange rate applicable on the balance sheet date.

RECEIVABLES

Accounts receivable and other current receivables are recorded in the balance sheet at nominal value less provisions for doubtful accounts. Provisions for doubtful accounts are based on an individual assessment of the different receivables.

CASH AND CASH EQUIVALENTS

Cash and cash equivalents with an original maturity of three months or less include bank deposits, and are recorded at nominal value in the financial statements. Restricted deposits are included in the item.

INCOME TAXES

The tax expense consists of the tax payable and changes to deferred tax. Tax payable and deferred taxes are recognised directly in equity to the extent that they relate to equity transactions.

Deferred income tax is provided using the liability method on temporary differences at the balance sheet date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the

liability is settled, based on tax rates at the balance sheet date. Deferred tax is recognised at nominal values.

Deferred tax/tax assets are calculated on all taxable temporary differences except goodwill. Tax-increasing and tax-decreasing temporary differences, as well as tax losses carried forward that are offset or can be offset in the same period, are recorded net, and are the basis for deferred tax assets for the Company. Net deferred tax assets are recognised as intangible assets and net deferred tax liabilities are recognised as long term liabilities. Deferred tax assets are recognised to the extent that sufficient taxable profit will be available to allow the deferred tax assets to be utilised.

PURCHASE OF TREASURY SHARES

When purchasing treasury shares, the purchase price, including direct costs incurred, is recorded as a change in equity. The nominal treasury shares are deducted from share capital. Differences between the nominal value and the purchase price of treasury shares, together with any losses or gains, are recorded directly against shareholders' equity.

PROVISIONS, CONTINGENT LIABILITIES AND CONTINGENT ASSETS

Accounting for conditions with uncertain results shall represent best estimates and should be calculated from a probability estimate. In the case of probability that an uncertain liability will be due, and the value of the liability can be reasonably measured, the liability shall be recognised in the financial statements. Regardless of the effect on the financial statements, material provisions, contingent liabilities and contingent assets are disclosed in notes.

CASH FLOW STATEMENTS

The Company reports its cash flow statements in accordance with the indirect method. Cash and cash equivalents includes cash, bank deposits and other short term, highly liquid investments with maturities of three months or less.

NOTES

1. Remuneration and salaries
2. Other operating expenses
3. Income tax
4. Intercompany receivables and loans
5. Cash and cash equivalents
6. Related parties
7. Shareholders equity
8. Group companies
9. Operating income
10. Commitments
11. Subsequent events

NOTE 1 REMUNERATION AND SALARIES

Figures in NOK 1000	2014	2013
Board remuneration and management fee	-1 676	-1 375
Social security costs	-477	-241
Share-based remuneration ¹	-	46
Other employee costs	-50	-8
Total	-2 203	-1 579

1) The difference between share-based remuneration in the note and in the cash flow statement represent share-based remuneration to employees in Rocksource Geotech AS.

The Company had no employees during the year. Items in the table above represent expenses related to remunerations to the Board of Directors. The CEO is employed in the subsidiary Rocksource Exploration Norway AS. Services performed for the parent company are charged from Rocksource Exploration Norway AS. Information regarding compensation and share-based remuneration to key management in the Group in 2014 is disclosed in note 21 in the consolidated financial statements.

NOTE 2 OTHER OPERATING EXPENSES

Figures in NOK 1000	2014	2013
Intercompany services	-1 625	-2 809
Professional services	-6 119	-5 349
Office expenses, office leases, IT development and similar	-142	212
Travel	-308	-295
Other expenses	-854	-249
Total	-9 048	-8 490

AUDIT FEES

Fees paid to the auditor (excluding VAT) / Figures in NOK 1000	2014	2013
Audit fee	-390	-600
Other financial auditing	-	-30
Attesting services	-13	-109
Other advisory services	-90	-106
Tax advisory services	-	-22
Total	-493	-867

NOTE 3 INCOME TAX

Figures in NOK 1000

2014**2013****SPECIFICATION OF THE BASIS FOR TAX PAYABLE**

Profit/(loss) before taxes	6 728	7 307
+ Tax effect of permanent differences	-20 037	-4 655
+ Change in temporary differences	-348	6 017
= Basis for tax payable	-13 657	8 669

SPECIFICATION OF THE YEARS'S TAX EXPENSES/(INCOME)

Current taxes, refund previous years	-	329
Deferred tax	-	1 246
= Total tax expenses/(income) for the period	-	1 575

Tax rate 31.12	27 %	28 %
Effective tax rate	0 %	21.6 %

DEFERRED TAX/DEFERRED TAX ASSETS IN NORWAY

Non-current assets/accruals, 27 %	1 384	2 473
Tax losses carried forward, onshore activities, 27 %	26 371	14 223
= Basis deferred tax assets Norway	27 755	16 696

Deferred tax assets recognised in the financial statements	-	-
Deferred tax assets not recognised in the financial statements (27 %)	7 494	4 508

Deferred tax assets are recognised if it is more likely than not that taxable profit will be available to allow the deferred tax assets to be utilised.

NOTE 4 INTERCOMPANY RECEIVABLES AND LOANS

Figures in NOK 1000

2014

2013

NON-CURRENT ASSETS

Loan to Rocksource Energy Corporation	-	608
Loan to Rocksource Gulf of Mexico AS	86 138	58 278
Loan to Rocksource Exploration Norway AS	169 314	55 253
Loan to Rocksource ANS (liquidated)	-	21
Total	255 452	114 162

NON-CURRENT LIABILITIES

Loan from Rocksource AGC (Profond) AS (liquidated)	-	13 308
Loan from Rocksource Energy Corporation	186	-
Loan from Rocksource Geotech AS	38 887	4 288
Total	39 073	17 596

Intercompany balances to Rocksource Energy Corporation and Rocksource Gulf of Mexico AS are denominated in USD. The other intercompany balances are denominated in NOK.

Rocksource ASA (RASA) has a receivable against Rocksource Exploration Norway AS (REN) which arose from REN's purchase of Rocksource ASA's activities on the Norwegian Continental Shelf and financing of the operations. As of 30 September 2013 this receivable was converted to equity as a set-off against share contribution, by RASA subscribing to an increase in the nominal value of the existing shares in REN. New intercompany balances between RASA and REN have arisen since the date of the conversion due to RASA's financing of REN.

The loan to Rocksource UK Ltd was impaired by NOK 0.3 million as of year-end 2014 (NOK 3.9 million in 2013). Remaining balance is nil. The loan to Rocksource Gulf of Mexico AS

has been impaired by NOK 128 million in the period 2012 to 2013. No further impairment has been done in 2014.

The intercompany balance between Rocksource ASA and Rocksource Geotech AS carry interest of NIBOR 12 month + 215 basis points. Intercompany balances between Rocksource ASA and the subsidiaries Rocksource UK Ltd, Rocksource Gulf of Mexico Corporation and Rocksource AGC (Profond) AS (liquidated) carries no interest. Repayment of the outstanding intercompany balances will be done when the two parties agree on the repayment. The subsidiary Rocksource AGC (Profond) AS has been liquidated and the loan was settled. No interest has been calculated on the receivable from REN.

See note 20 in the consolidated financial statements for further information on intercompany invoicing.

NOTE 5 CASH AND CASH EQUIVALENTS

Figures in NOK 1000	2014	2013
Bank deposit, non-restricted	2 971	75 499
Bank deposit, restricted	177	431
Total	3 148	75 930

Included in Item "Bank deposit, restricted" at 31 December 2014 is board members's tax deduction.

Cash and cash equivalents are denominated in NOK (70 per cent) and USD (30 per cent).

NOTE 6 RELATED PARTIES

See note 20 in the Consolidated financial statements for description of transactions with related parties.

NOTE 7 SHAREHOLDERS EQUITY

Figures in NOK 1000	Share capital	Treasury shares	Additional paid-in capital	Total equity
Balance at 1 January 2014	8 706	-22	206 630	215 314
Capital increase	1 132	-	41 869	43 001
Transaction costs, net of tax	-	-	-3 370	-3 370
Net profit/(loss) for the period	-	-	6 728	6 728
Balance at 31 December 2014	9 837	-22	251 857	261 672
Balance at 1 January 2013	8 706	-22	201 036	209 720
Transaction costs, net of tax	-	-	-75	-75
Share-based remuneration	-	-	-63	-63
Net profit/(loss) for the period	-	-	5 732	5 732
Balance at 31 December 2013	8 706	-22	206 630	215 314

As of 31 December 2014 Rocksource ASA had 98,371,500 shares with a nominal value of NOK 0.10. The Company's share capital was increased from 8,705,550 to 9,837,150 on 7 July 2014, by issuing 11,316,000 new shares at a nominal value of NOK 0.10 per share. There is one class of shares and

all shares are fully paid in. Each share represents one vote at the Company's General Meeting.

For information regarding the authorisation of the Board of Directors, treasury shares and dividends, see note 11 in the consolidated financial statements.

THE COMPANY'S LARGEST SHAREHOLDERS AT 31 DECEMBER 2014

	Country	Number of shares	Share in %
Epsi AS	Norway	32 796 659	33.3
Larsen Oil & Gas AS	Norway	28 417 576	28.9
Independent Oil & Resources PLC	Cyprus	2 000 000	2.0
Tokala AS	Norway	1 130 000	1.1
Venadis AS	Norway	1 000 000	1.0
Ole Andreas Baksaas	Norway	978 092	1.0
Brown Brothers Harriman & Co	USA	793 550	0.8
Mustad Industrier AS	Norway	766 715	0.8
Six Sis AG	Switzerland	653 996	0.7
Abn Amro Global Custody Services	Netherlands	652 295	0.7
Bernh Larsen Holding AS	Norway	566 676	0.6
Helge Ringdal	Norway	500 000	0.5
L Langedal Holding AS	Norway	412 500	0.4
Arvid Sandnes	Norway	406 000	0.4
Askas AS	Norway	311 097	0.3
Nordnet Pensjonsforsikring	Norway	308 430	0.3
Mikhail Boulaenko	Russia	300 000	0.3
Bill Invest AS	Norway	265 481	0.3
Espen Dale	Norway	240 000	0.2
DNB Nor Markets	Norway	233 111	0.2
Total top 20 shareholders		72 732 178	73.9
Other shareholders		25 639 322	26.1
Total		98 371 500	100

NOTE 8 GROUP COMPANIES

See note 13 - Group companies in the consolidated financial statements.

BOOK VALUE OF THE SUBSIDIARIES BOOKED IN THE COMPANY AS OF YEAR END

Figures in NOK 1000	Ownership and voting interest	2014	2013
Investments in Rocksource Energy Corporation	100 %	439	439
Shares in Rocksource Geotech AS	100 %	24 896	15 000
Shares in Rocksource UK Ltd	100 %	-	-
Shares in Rocksource AGC (Profond) AS ¹	100 %	-	10 034
Shares in Rocksource Gulf of Mexico AS	100 %	-	-
Shares in Rocksource Exploration Norway AS	100 %	18 021	18 021
Total		43 356	43 494

(1) Rocksource AGC (Profond) AS were liquidated as of 25 July 2014.

Impairment tests as of year end 2014 have been performed, and the conclusion is that the value of the shares and investments are intact.

NOTE 9 OPERATING INCOME

Figures in NOK 1000	2014	2013
Sale of assets	1 497	4 526
Other intercompany sale	-	61
Total	1 497	4 587

Revenue from sale of assets were NOK 1.5 million in 2014 (2013 NOK 4.5 million). Other intercompany sale consists of sale between Rocksource ASA and the subsidiaries in the Group. For more information see note 20 and 22 in the Consolidated financial statements.

NOTE 10 COMMITMENTS

See note 16 and note 17 in the group financial statements for information regarding commitments and contingent items.

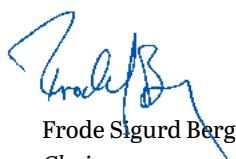
NOTE 11 SUBSEQUENT EVENTS

See note 24 - Subsequent events in the consolidated financial statements relating to a) mandatory offer on the Company, b) new Board of Directors and c) NOK 210 million rights issue completed in 2015.

RESPONSIBILITY STATEMENT

We confirm that, to the best of our knowledge that the financial statements for the period 1 January to 31 December 2014 have been prepared in accordance with current applicable accounting standards, and give a true and fair view of the assets, liabilities, financial position and result of Rocksource ASA and the Rocksource Group. We also confirm that the Board of Directors' report includes a true and fair review of the development, performance and financial position of Rocksource ASA and the Rocksource Group, together with a description of the principal risks and uncertainties that they face.

Bergen, 23 April 2015


 Frode Sigurd Berg
Chairman

 Liv Marit Lundby
Board Member

 Robert John Arnott
Board Member

 Terje Arnesen
Chief Executive Officer

To the Annual Shareholders' Meeting of
Rocksourc ASA

AUDITOR'S REPORT

Report on the financial statements

We have audited the accompanying financial statements of Rocksourc ASA, comprising the financial statements for the Parent Company and the Group. The financial statements of the Parent Company comprise the balance sheet as at 31 December 2014, the statements of income and cash flows for the year then ended and a summary of significant accounting policies and other explanatory information. The financial statements of the Group comprise the consolidated statement of financial position as at 31 December 2014, the statements of income, comprehensive income, cash flows and changes in equity for the year then ended as well as a summary of significant accounting policies and other explanatory information.

The Board of Directors' and Managing Director's responsibility for the financial statements

The Board of Directors and Managing Director are responsible for the preparation and fair presentation of these financial statements in accordance with the Norwegian Accounting Act and accounting standards and practices generally accepted in Norway for the financial statements of the Parent Company and the International Financial Reporting Standards as adopted by the EU for the financial statements of the Group, and for such internal control as the Board of Directors and Managing Director determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with laws, regulations, and auditing standards and practices generally accepted in Norway, including International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the financial statements for the Parent Company and the Group.

Opinion on the financial statements of the Parent Company

In our opinion, the financial statements of Rocksource ASA have been prepared in accordance with laws and regulations and present fairly, in all material respects, the financial position of the Company as at 31 December 2014 and its financial performance and cash flows for the year then ended in accordance with the Norwegian Accounting Act and accounting standards and practices generally accepted in Norway.

Opinion on the financial statements of the Group

In our opinion, the financial statements of the Group have been prepared in accordance with laws and regulations and present fairly, in all material respects, the financial position of the Group as at 31 December 2014 and its financial performance and cash flows for the year then ended in accordance with the International Financial Reporting Standards as adopted by the EU.

Report on other legal and regulatory requirements

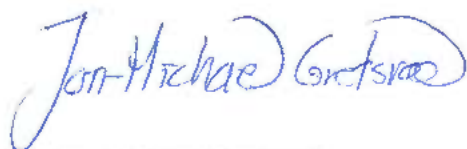
Opinion on the Board of Directors' report and on the statement on corporate governance

Based on our audit of the financial statements as described above, it is our opinion that the information presented in the Directors' report and in the statement on corporate governance concerning the financial statements, the going concern assumption and the proposal for the allocation of the result is consistent with the financial statements and complies with the law and regulations.

Opinion on registration and documentation

Based on our audit of the financial statements as described above, and control procedures we have considered necessary in accordance with the International Standard on Assurance Engagements (ISAE) 3000, «Assurance Engagements Other than Audits or Reviews of Historical Financial Information», it is our opinion that the Board of Directors and Managing Director have fulfilled their duty to ensure that the Company's accounting information is properly recorded and documented as required by law and generally accepted bookkeeping practice in Norway.

Oslo, 23 April 2015
ERNST & YOUNG AS



Jon-Michael Grefsrød
State Authorised Public Accountant (Norway)

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